CREDO TECHNOLOGY

November 2026
Financial and owner-source review

Current research: 6 November 2026 | Framework 8.0 | USD per starting-quarter diluted share

Q4 2027 ceiling $375.01 | Analytical Base 75 | Excel Base 75

The current forecast appears first. The complete 12 October evidence update and 11 October operating model follow in a dated historical appendix. Earlier forecasts and their original information vintage remain visible.

USD millions and diluted shares in millions unless stated. Prices in USD per diluted share.

The current decision and the small target revision

The current Q4 2027 calculated ceiling is $375.01 per diluted share, compared with $375.07 in the prior published model. The change is a decline of 0.01655%, or about six cents. The active window contains $3,142.590119 million of non-GAAP operating profit, valued at 25x over 209.5 million starting-quarter diluted shares. Analytical Base and protected Excel Base both remain 75.

The new Avicena research supports a bounded competitive branch against part of Credo's future ALC business. The branch combines technical reach, delivered cost and customer conversion, then limits the exposed product wallet and subtracts prior overlap. Its commercial ramp begins in 2028 after the source's proposed sampling window. The current AEC competition increment is zero.

The model also now exposes the complete GAAP, cash, working-capital, deposit, equipment, employee-share, licensing and acquisition-earnout bridges behind the company forecast. Every central cash path remains above the $500 million reserve; the minimum is $892.614 million, and central new funding is zero.

The retained portfolio price reference is $249.89. Its market date remains unverified in the saved quote evidence. Research inputs are selected as of 6 November 2026; the original October 12 evidence update, October 11 operating model and earlier source work remain in a dated historical appendix.

Current model decision

OP USD millions; ceiling USD per diluted share

Horizon	Window through	F4 non-GAAP OP	Multiple	Start shares M	Ceiling
Q4 2027	Q3 2028	3,142.59	25	209.50	375.01

Analytical Base 75; protected Excel Base 75. Existing fiscal-reporting-bucket labels and starting-quarter diluted-share convention retained.

Matched active-horizon revision

USD per diluted share; percent

Vintage	Q4 2027 ceiling	Change USD	Change %
12 October 2026 evidence /11 October model	375.07	Blank	Blank
6 November 2026 selected model	375.01	-0.0621	-0.0165

The small change reflects only the new bounded ALC competition branch. Cash, GAAP and claims schedules make the complete company economics visible.

Sources: [S1], [S2], [S4], [S5], [S6], [S7], [S8].

The bottleneck, products and customers

Credo sells connectivity products that move data between compute, networking and optical systems. Faster AI systems require more useful bandwidth within a finite power, distance and reliability budget. The commercial opportunity depends on owning a qualified external invoice at a competitive delivered cost.

The model keeps eight receipt vectors separate: AECs, retimers, ZeroFlap modules, external optical DSPs, external silicon-photonics PICs, ALC/microLED, Weaver/OmniConnect and external CPO/NPO products. Finished-module revenue and externally sold component revenue require separate boundaries so embedded DSP/PIC content is counted once.

Large-customer adoption can produce rapid operating leverage, while qualification delays, customer concentration, competing architectures and inventory commitments can weaken conversion. Engineering performance must translate through accepted output, pricing, manufacturing, testing, support and cash collection before it becomes shareholder profit.

Products, customers and the paid invoice

Business and invoice scope

Product	Receipt ownership	Economic constraints
AEC	Finished active electrical cable sales	Qualified reach, silicon/cable cost, manufacturing, customer concentration
Retimers	External semiconductor sales	Socket/content share, design cycles and competition
ZeroFlap modules	External optical-module sales	Accepted module output, yield, DSP/PIC overlap and support
External optical DSP/PIC	Standalone component invoices	Exclude DSP/PIC content already inside own modules
ALC /microLED	Qualified finished-cable receipts	Array/fiber/assembly cost, reach, reliability and adoption
Weaver /OmniConnect	External interconnect products	Architecture and customer conversion
CPO /NPO	External product/invoice path	Architecture dates, acceptance and substitution

All eight product vectors remain distinct; product revenue and margins are analytical allocations, with consolidated opex retained.



Credo original published 1.6T ALC product image, retained from the verified prior artifact. The picture identifies the cable product; engineering performance and accepted production units require their own evidence.

Sources: [S1], [S2], [S5], [S7], [S8].

Replacement, new architectures and the eligible wallet

More accelerators and higher network rates expand connectivity demand. Electrical cables, active optical links, pluggable modules, near-packaged optics and co-packaged optics address different reach, topology and integration requirements. Their adoption changes both the number of useful links and the supplier that owns the invoice.

Credo's AEC business serves the established short-reach electrical wallet. ALC targets longer wide-parallel links, and the existing NPO/CPO path addresses a different integration period. External optical DSP and PIC products have separate sales from Credo's own modules. The forecast retains those boundaries before applying market growth or competitive substitution.

The new competition review focuses on the source's prospective 5-10 metre window. It does not translate the whole optical market into lost Credo sales. Actual eligible link-length mix, qualified customers, cable BOM and pricing remain unmeasured. Those limits motivate explicit exposure and overlap fractions.

Sources: [S2], [S4], [S5], [S7], [S8].

Latest reported results and the next-quarter guide

Credo's fiscal Q1 FY2027 quarter ended 1 August 2026 with revenue of $479.003 million. Non-GAAP gross profit was $325.795 million and operating expense $95.154 million, producing $230.641 million of non-GAAP operating profit. Reported GAAP operating profit was $120.700 million.

The actual non-GAAP-to-GAAP bridge includes $87.979 million of stock compensation, $11.600 million of acquired intangible amortization and $10.362 million of other specified adjustments. Net income was $129.425 million. Operating cash flow of $90.231 million less $7.282 million of paid capital gives $82.949 million of free cash flow.

The next-quarter revenue midpoint is $530 million, with 68% non-GAAP gross margin and $102.5 million of non-GAAP operating expense. Those inputs imply $257.9 million of non-GAAP OP. The corresponding GAAP margin/expense bridge implies $137.17 million of GAAP OP and 200 million diluted shares.

The next fiscal quarter ends 31 October 2026. The portfolio's Q4 2026 label identifies that existing fiscal reporting bucket. This report preserves the established quarter convention, with calendar-month allocation applied separately where the AEC market forecast requires it.

Latest reported operating and cash bridge

USD millions

Measure	Q1 FY2027 actual	Scope
Revenue	479.00	Quarter ended 1 August 2026
Non-GAAP gross profit	325.80	Sanctioned adjusted measure
Non-GAAP operating expense	95.15	Sanctioned adjusted measure
Non-GAAP operating profit	230.64	Sanctioned adjusted measure
GAAP gross profit	309.08	Reported GAAP
GAAP operating expense	188.38	Reported GAAP
GAAP operating profit	120.70	Reported GAAP
SBC	87.98	Operating expense adjustment
Acquired intangible amortization	11.60	Acquired intangible cost
Other specified adjustments	10.36	Specified issuer adjustments
Net income	129.43	Reported GAAP
Ordinary depreciation and amortization	8.61	Cash-flow addback
CFO	90.23	Reported operating cash
Paid cash capital expenditure	7.28	Reported paid capital
FCF	82.95	CFO less paid capital
Acquisition net cash outflow	735.62	Already paid before opening forecast cash

Q1 non-GAAP OP 230.641 less SBC 87.979, acquired amortization 11.6 and other adjustments 10.362 reconciles to GAAP OP 120.700.

Next-quarter guidance and adjustment reconciliation

USD millions except rates and shares

Measure	Selected midpoint	Definition
Revenue midpoint	530	Quarter ending 31 October 2026
Non-GAAP gross margin	0.6800	Non-GAAP GP / revenue
Non-GAAP operating expense	102.50	Non-GAAP operating expense
Non-GAAP operating profit	257.90	530 x 68% less 102.5
Non-GAAP diluted shares	200	Diluted share guide, millions
GAAP gross margin	0.6390	GAAP GP / revenue
GAAP operating expense	201.50	GAAP operating expense
GAAP operating profit	137.17	530 x 63.9% less 201.5
SBC gross-profit adjustment fraction	0.0130	SBC in gross-profit adjustment
SBC operating-expense adjustment	97	SBC in operating expense
Acquired-amortization gross-profit adjustment fraction	0.0280	Acquired amortization GP adjustment
Integration operating expense	2	Integration cash cost

Guidance percentages are rounded. Q4 2026 reporting label maps to FQ2 FY2027; these labels retain the existing fiscal-bucket convention.

Reporting-quarter labels and fiscal buckets

Dates /period labels

Label	Fiscal bucket
Q4 2026	FQ2 FY2027
Q1 2027	FQ3 FY2027
Q2 2027	FQ4 FY2027
Q3 2027	FQ1 FY2028
Q4 2027	FQ2 FY2028
Q1 2028	FQ3 FY2028
Q2 2028	FQ4 FY2028
Q3 2028	FQ1 FY2029
Q4 2028	FQ2 FY2029
Q1 2029	FQ3 FY2029
Q2 2029	FQ4 FY2029
Q3 2029	FQ1 FY2030
Q4 2029	FQ2 FY2030
Q1 2030	FQ3 FY2030
Q2 2030	FQ4 FY2030
Q3 2030	FQ1 FY2031
Q4 2030	FQ2 FY2031

Existing quarter labels identify fiscal reporting buckets; monthly calendar allocation is used separately for the AEC TAM comparison. No literal calendar-quarter actual-sales claim is made.

Sources: [S1], [S2], [S7], [S8].

Latest two management calls and source completeness

The current scoped freshness review identifies the 1 September Q1 FY2027 and 1 June Q4 FY2026 calls as the newest two management earnings calls encountered. Prepared remarks and full Q&A/closing were reviewed through returned web text, with unchanged prior complete-read lineage reused. Local saved Q&A readbacks are scoped extracts. Independent audio verification remains incomplete.

The source record also retains the previously reviewed 10 September conference. A new direct fetch returned 403, so this review adds no fresh conference economics. Current reported financial anchors come from the issuer release, saved Q1 10-Q and closed-acquisition terms.

Management's AEC reach, optical-product timing and customer-qualification discussion provides company context. The new Avicena article and Mizuho note receive separate attribution and financial treatment. Their technical or industry estimates supply no automatic additional customer award.

Sources: [S1], [S2], [S3], [S4], [S5], [S7], [S8].

The new Avicena evidence and its confidence limits

The complete visible Avicena HTML text was reviewed, and all 175 referenced image assets were verified in the saved bundle. Twenty-two material technical, cost, array, roadmap and competition panels were visually read. Other preserved images remain contextual; this report uses no hidden redacted values.

The source describes improved demonstrations, a prospective gearbox-based 1.6T optical link and a target for samples/quotes in H2 2027. It also discusses reach, array redundancy, custom fiber, packaging, equalization and FEC. A full delivered cable cost, accepted customer qualification and serial-production yield are absent.

The article author's 70% technical-reach judgment is one input to the competitive chain. Cost competitiveness given reach is bounded at 60%, and customer conversion given technical/cost progress at 50%. The resulting 21% event probability keeps the technical and economic claims in one correlated source chain.

This evidence can matter before an official production announcement. Its economic contribution is determined by the matched product, probability, unit/price pressure, costs and timing. The selected forecast applies that bounded interpretation to the existing ALC wallet.

New evidence, confidence and overlap

Numerical assumptions and source scope

Claim /event	Numerical treatment	Source limit
Avicena technical reach	70%	Article author judgment; two demo arrays
Cost given technical reach	60%	Analytical bound; delivered cable BOM absent
Adoption given technical/cost	50%	Analytical bound; qualified orders absent
Joint ALC competitive event	21%	70% x 60% x 50%; one source chain
Exposed ALC pool	50% eligible x 50% nonoverlap	ALC reach window and prior qualification risk
Conditional unit/retained-price pressure	25% units; 5% retained price	Analytical bounds
Conversion timing	25/50/100% Q1 / Q2 / Q3 2028	After H2 2027 samples/quotes
Direct-drive central probability	0%	No accepted product/date; compute I/O 2031+ context
Existing NPO/CPO	70% converted confidence; 33 m FY28 path	Already modeled; no additional award credit

Existing ALC 60% confidence describes the already converted 52 m FY28 path and is not multiplied again. Central AEC competition exposure remains zero.

Sources: [S4], [S7].

Demonstrations, array yield and the complete link

The summer eKit reportedly had 298 of 340 lanes initially pass a 1e-12 error criterion and 291 of 340 after vibration. The October unit had 325 of 330 active lanes pass, or 325 of 340 when including ten dead LEDs. The two units used different epitaxy/attachment conditions, and the October unit lacked epoxy.

These per-lane observations do not measure serial-production array yield or accepted fleet reliability. A system with hundreds of channels needs a complete account of spare lanes, correlated failures, assembly, fiber alignment, testing, environmental behavior and service consequences.

The source describes a current 3 Gbps-per-LED link, while a complete 8 Gbps array remains unproven. A single-LED 0.2 pJ/bit demonstration at 8 Gbps uses favorable laboratory trigger, fixture and free-space conditions. FEC/equalization latency and power figures are design simulations with their own scope.

The illustrative comparison of 25.78125 Gbps x 64 with 4.25 Gbps x 384 requires six times as many fibers before overhead/spares. The source's next 10 m goal involves custom GRIN fiber, TSV and photodetector co-design. These details affect the cost and qualification bridge; none establishes a delivered customer BOM or production award.

Technical demonstrations and the manufacturing boundary

Technical conditions retained; no extra financial data inferred

Source observation	Reported scope	What remains unmeasured
Summer eKit lanes	298/340 initially pass 1e-12; 291/340 after vibration	Serial-production array yield and delivered cable reliability
October eKit lanes	325/330 active pass; 325/340 including 10 dead LEDs	Different epi/attach; no epoxy on October unit
Current link rate	3 Gbps per LED; complete 8 Gbps array unproven	Full aggregate payload, temperature, FEC power and latency
Single-LED energy	0.2 pJ/bit at 8 Gbps lab demo	Full cable energy/BOM/yield/customer acceptance
Next generation	10 m goal; custom GRIN fiber/TSV/PD co-design	Assembly throughput and paid product cost
Serial/parallel illustration	25.78125 Gbps x 64 versus 4.25 Gbps x 384	Sixfold fiber count before overhead/spares; invoice costs absent

These are source-described demonstrations and simulations. No lane-pass fraction is used as production array yield. Some source figures are redacted; hidden values remain unmodeled.

Sources: [S4], [S7].

Credo ALC specifications and the existing commercial path

Credo's October 12 release describes a 1.6T active light cable with up-to 50 m reach and planned 2027 shipping. Issuer specifications include about 12 W per cable end, lower power than a comparable AEC and substantially lower weight. The 100 million-hour MTBF figure is a design target, with measured field history still unresolved.

The issuer product page allows microVCSEL or microLED emitters. That architecture can coexist with different optical form factors, while actual emitter/laser allocation and accepted manufacturing output remain undisclosed. Named technology references do not identify a paid supplier award.

The inherited converted ALC path starts in FY2028 and contains $52 million of sales across the 10/12/14/16 million quarterly schedule, before the newly applied competitive branch. At the existing $400 ASP and 65% gross-margin proxy, the programme corresponds to 130,000 cables and $18.2 million of product COGS in that fiscal year.

The retained 60% ALC commercialization-confidence label already describes this converted path. The model preserves its existing revenue level and applies the new 21% competitive branch once. A larger stated reach alone adds no new accepted unit count or contract price.

Sources: [S1], [S2], [S4], [S7], [S8].

The bounded ALC competition bridge

The central branch makes half of reference ALC revenue eligible for the source's competitive reach window and retains 50% incremental nonoverlap with prior qualification/competition risk. Within that exposed pool, the conditional outcome loses 25% of units and cuts price 5% on retained exposed units.

Lost-unit receipts release 30% of their value in avoidable production COGS and 10% in variable opex. The remaining manufacturing/support cost persists. Price concessions on retained units reduce receipts without automatic production-cost relief. Additional support is $0.5 million per quarter times the 50% nonoverlap fraction and the conversion ramp.

The ramp is 25%, 50% and 100% in Q1, Q2 and Q3 2028 after the source's H2 2027 samples/quotes target. At full ramp, the expected revenue fraction is 21% x 50% x 50% x(25%+75% x 5%)=1.509375% of reference ALC receipts.

This is a small part of the complete company wallet, which explains the small active-target change. The current branch assigns zero new AEC competition exposure. A separate 5%-eligible AEC diagnostic tests a bounded extension of the concern without claiming a lost electrical-cable customer.

Costed conditional ALC competition law

Fractions and USD millions

Stage	Formula /selected control	Economic effect
Joint event	0.70 x 0.60 x 0.50=0.21	Technical, cost and commercial conversion
Eligible exposed pool	ALC R x 0.50 x 0.50 x ramp	Prior overlap and reach limit
Lost units	Exposed receipts x 0.25	Lost accepted units
Price pressure	Retained exposed receipts x 0.05	No manufacturing cost relief on discount
Avoided production COGS	Lost-unit receipts x 0.30	Fixed production support remains
Avoided variable opex	Lost-unit receipts x 0.10	Limited support relief
Additional support	0.5 m/q x 0.50 x ramp	Qualification and response cost
Full-ramp expected revenue fraction	0.0151	21% event x 25% exposed x(25%+75% x 5%)

The full-ramp receipt fraction is 1.509375% of reference ALC revenue. Timing, cost persistence and the limited ALC wallet produce a small company-level impact.

AEC increment and competitive support costs

USD millions

Quarter	AEC conditional R	AEC weighted R	ALC support	Avoided opex	Extra DA expense
Q4 2026	0.00	0.00	0.00	0.00	0.00
Q1 2027	0.00	0.00	0.00	0.00	0.00
Q2 2027	0.00	0.00	0.00	0.00	0.00
Q3 2027	11.49	3.45	0.00	0.00	0.00
Q4 2027	12.12	3.64	0.00	0.00	0.00
Q1 2028	95.16	28.55	0.0131	0.0046	0.00
Q2 2028	274.21	82.26	0.0262	0.0105	0.00
Q3 2028	289.31	86.79	0.0525	0.0420	0.00
Q4 2028	305.24	91.57	0.0525	0.0525	0.00
Q1 2029	312.20	93.66	0.0525	0.0630	0.00
Q2 2029	292.52	87.76	0.0525	0.0722	0.00
Q3 2029	292.52	87.76	0.0525	0.0853	0.00
Q4 2029	292.52	87.76	0.0525	0.0971	0.00
Q1 2030	292.52	87.76	0.0525	0.1076	0.00
Q2 2030	292.52	87.76	0.0525	0.1168	0.00
Q3 2030	292.52	87.76	0.0525	0.1247	0.00
Q4 2030	292.52	87.76	0.0525	0.1326	0.00

Conditional AEC residual is weighted once at 30%. New ALC support and limited variable-cost relief belong to the same 21% competition branch.

Sources: [S4], [S7].

The inherited AEC market case and full calendar overlap

The retained AEC case uses BofA's October 9 market estimates of $6.9 billion in 2027 and $13.2 billion in 2028. The selected 25% net receipt capture is a company-revenue proxy with 15-35% bounds. The market-and-capture event has 30% probability.

The full existing AEC reference is subtracted before probability weighting. Uniform-month fiscal/calendar alignment gives reference sales of $1,692.859527 million in 2027 and $2,129.915446 million in 2028. Conditional captured receipts of $1,725 million and $3,300 million leave residuals of $32.140473 million and $1,170.084554 million.

The 2027 residual is allocated after the retained FY2027 directional calibration. The 2028 residual uses the reference AEC monthly pattern; those residual dollars are held flat in 2029 and 2030. Product/invoice boundaries and the existing optical vectors remain intact.

Incremental AEC gross margin is 70% and added operating expense 15% of incremental receipts, giving 55% incremental non-GAAP OP. The company still needs qualified manufacturing output, working capital and collections. The bank's forecast supplies no observed customer allocation or funding commitment.

Existing AEC market case and calendar overlap

USD millions; analytical net receipt capture

Calendar year	Market TAM	Capture fraction	Conditional Credo R	Existing AEC R	Residual	Weighted R increment
2027	6900	0.2500	1725	1,692.86	32.14	9.64
2028	13200	0.2500	3300	2,129.92	1,170.08	351.03

Uniform-month fiscal/calendar alignment; subtract the full reference AEC forecast before 30% weighting. Incremental GP 70%, opex 15%, OP 55%. Carry 2028 residual dollars flat in 2029-2030.

Sources: [S6], [S7], [S8].

NPO, CPO and the direct-drive timing boundary

The anonymized Mizuho note is printed 15 October and contains nine pages and five numbered exhibits. The available document was read in full. The underlying expert identity, interview date, full call/presentation and original LightCounting dataset are absent.

The expert timeline places 6.4T NPO deployment in 2027, CPO preproduction in 2028-2029, high-volume CPO in 2029-2030 and broad compute optical I/O in 2031 or later. These periods describe different architectural stages. Early NPO receipts can therefore coexist with later CPO high volume.

Credo's existing external NPO/CPO path already contains $33 million of FY2028 sales and a 70% converted confidence label. The source provides context for that path and adds zero new receipts, margin or supplier-award credit. Industry silicon-photonics unit-share forecasts require a separate company invoice bridge.

Avicena's direct-drive integration concept has no accepted product or verified commercial date. Central direct-drive probability is zero within the published windows, with the model's central start control beyond the horizon in Q1 2031. A separate 5% early-2029 diagnostic exposes 30% of Weaver receipts to 25% loss and 50% nonoverlap. It establishes no 2027 direct-drive launch.

Sources: [S4], [S5], [S7].

Every product receipt and cost path

The consolidated model retains all eight product vectors through Q4 2030. AEC and retimers provide the established connectivity base; ZeroFlap and external DSP/PIC sales have their own external invoice definitions. ALC, Weaver and external NPO/CPO follow their retained emerging-product paths.

Each table displays revenue, COGS, gross profit and any competition-driven unit or price pressure. Product-specific sales and margins remain analytical allocations because the issuer does not disclose a complete product-level P&L. Consolidated opex separately retains engineering, qualification, sales and support.

The new competitive branch changes only the eligible ALC product and directly dependent costs. The external optical revenue-shortfall and delay cases provide additional bounds. The model does not import a generic industry cost reduction or a second optical-growth premium into every product margin.

Complete non-GAAP operating forecast

USD millions; reporting-bucket quarter labels

Quarter	Revenue	COGS	GP	Non-GAAP opex	Non-GAAP OP
Q4 2026	530.00	169.60	360.40	102.50	257.90
Q1 2027	636.00	189.87	446.13	109.00	337.13
Q2 2027	826.80	248.87	577.93	112.50	465.43
Q3 2027	996.45	300.53	695.91	130.52	565.40
Q4 2027	1,125.04	342.28	782.76	140.26	642.50
Q1 2028	1,270.59	388.40	882.19	153.90	728.29
Q2 2028	1,455.29	446.88	1,008.41	172.38	836.03
Q3 2028	1,609.94	494.64	1,115.30	179.52	935.77
Q4 2028	1,740.60	535.05	1,205.54	191.08	1,014.46
Q1 2029	1,864.16	573.49	1,290.67	202.62	1,088.05
Q2 2029	1,979.43	609.45	1,369.98	213.37	1,156.61
Q3 2029	2,100.34	646.71	1,453.63	224.26	1,229.36
Q4 2029	2,224.13	684.58	1,539.55	234.59	1,304.96
Q1 2030	2,337.92	719.79	1,618.14	244.22	1,373.92
Q2 2030	2,445.82	753.43	1,692.39	254.16	1,438.23
Q3 2030	2,554.93	787.38	1,767.55	264.58	1,502.97
Q4 2030	2,666.36	822.02	1,844.35	275.35	1,568.99

Product COGS and consolidated opex retain existing commercial assumptions; only incremental competition and capital changes adjust their owning fields.

AEC: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	350.00	118.44	231.56	0.00	0.00
Q1 2027	339.20	101.76	237.44	0.00	0.00
Q2 2027	390.99	117.30	273.70	0.00	0.00
Q3 2027	428.45	128.53	299.91	0.00	0.00
Q4 2027	452.04	135.61	316.43	0.00	0.00
Q1 2028	501.64	150.49	351.15	0.00	0.00
Q2 2028	581.41	174.42	406.98	0.00	0.00
Q3 2028	613.42	184.03	429.40	0.00	0.00
Q4 2028	647.20	194.16	453.04	0.00	0.00
Q1 2029	679.88	203.97	475.92	0.00	0.00
Q2 2029	706.26	211.88	494.38	0.00	0.00
Q3 2029	740.32	222.10	518.22	0.00	0.00
Q4 2029	776.25	232.88	543.38	0.00	0.00
Q1 2030	814.16	244.25	569.91	0.00	0.00
Q2 2030	854.16	256.25	597.91	0.00	0.00
Q3 2030	896.36	268.91	627.45	0.00	0.00
Q4 2030	940.89	282.27	658.62	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

Retimers: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	95.00	26.60	68.40	0.00	0.00
Q1 2027	106.00	29.68	76.32	0.00	0.00
Q2 2027	124.77	34.93	89.83	0.00	0.00
Q3 2027	156.00	43.68	112.32	0.00	0.00
Q4 2027	160.00	44.80	115.20	0.00	0.00
Q1 2028	165.00	46.20	118.80	0.00	0.00
Q2 2028	169.00	47.32	121.68	0.00	0.00
Q3 2028	173.00	48.44	124.56	0.00	0.00
Q4 2028	177.00	49.56	127.44	0.00	0.00
Q1 2029	180.00	50.40	129.60	0.00	0.00
Q2 2029	183.00	51.24	131.76	0.00	0.00
Q3 2029	186.00	52.08	133.92	0.00	0.00
Q4 2029	189.00	52.92	136.08	0.00	0.00
Q1 2030	191.00	53.48	137.52	0.00	0.00
Q2 2030	194.00	54.32	139.68	0.00	0.00
Q3 2030	196.00	54.88	141.12	0.00	0.00
Q4 2030	198.00	55.44	142.56	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

ZeroFlap external module sales: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	25.00	9.00	16.00	0.00	0.00
Q1 2027	89.04	32.05	56.99	0.00	0.00
Q2 2027	158.16	56.94	101.22	0.00	0.00
Q3 2027	200.00	72.00	128.00	0.00	0.00
Q4 2027	270.00	97.20	172.80	0.00	0.00
Q1 2028	330.00	118.80	211.20	0.00	0.00
Q2 2028	400.00	144.00	256.00	0.00	0.00
Q3 2028	440.00	158.40	281.60	0.00	0.00
Q4 2028	480.00	172.80	307.20	0.00	0.00
Q1 2029	520.00	187.20	332.80	0.00	0.00
Q2 2029	560.00	201.60	358.40	0.00	0.00
Q3 2029	590.00	212.40	377.60	0.00	0.00
Q4 2029	620.00	223.20	396.80	0.00	0.00
Q1 2030	650.00	234.00	416.00	0.00	0.00
Q2 2030	680.00	244.80	435.20	0.00	0.00
Q3 2030	710.00	255.60	454.40	0.00	0.00
Q4 2030	740.00	266.40	473.60	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

External optical DSP sales: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	32.00	8.00	24.00	0.00	0.00
Q1 2027	55.12	13.78	41.34	0.00	0.00
Q2 2027	79.08	19.77	59.31	0.00	0.00
Q3 2027	80.00	20.00	60.00	0.00	0.00
Q4 2027	85.00	21.25	63.75	0.00	0.00
Q1 2028	90.00	22.50	67.50	0.00	0.00
Q2 2028	95.00	23.75	71.25	0.00	0.00
Q3 2028	105.00	26.25	78.75	0.00	0.00
Q4 2028	112.00	28.00	84.00	0.00	0.00
Q1 2029	118.00	29.50	88.50	0.00	0.00
Q2 2029	125.00	31.25	93.75	0.00	0.00
Q3 2029	132.00	33.00	99.00	0.00	0.00
Q4 2029	139.00	34.75	104.25	0.00	0.00
Q1 2030	144.00	36.00	108.00	0.00	0.00
Q2 2030	148.00	37.00	111.00	0.00	0.00
Q3 2030	153.00	38.25	114.75	0.00	0.00
Q4 2030	158.00	39.50	118.50	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

External SiPho PIC sales: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	28.00	7.56	20.44	0.00	0.00
Q1 2027	46.64	12.59	34.05	0.00	0.00
Q2 2027	73.81	19.93	53.88	0.00	0.00
Q3 2027	86.00	23.22	62.78	0.00	0.00
Q4 2027	96.00	25.92	70.08	0.00	0.00
Q1 2028	106.00	28.62	77.38	0.00	0.00
Q2 2028	116.00	31.32	84.68	0.00	0.00
Q3 2028	125.00	33.75	91.25	0.00	0.00
Q4 2028	132.00	35.64	96.36	0.00	0.00
Q1 2029	138.00	37.26	100.74	0.00	0.00
Q2 2029	145.00	39.15	105.85	0.00	0.00
Q3 2029	152.00	41.04	110.96	0.00	0.00
Q4 2029	159.00	42.93	116.07	0.00	0.00
Q1 2030	164.00	44.28	119.72	0.00	0.00
Q2 2030	168.00	45.36	122.64	0.00	0.00
Q3 2030	173.00	46.71	126.29	0.00	0.00
Q4 2030	178.00	48.06	129.94	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

ALC / microLED: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	0.00	0.00	0.00	0.00	0.00
Q1 2027	0.00	0.00	0.00	0.00	0.00
Q2 2027	0.00	0.00	0.00	0.00	0.00
Q3 2027	10.00	3.50	6.50	0.00	0.00
Q4 2027	12.00	4.20	7.80	0.00	0.00
Q1 2028	13.95	4.89	9.06	0.0459	0.0069
Q2 2028	15.88	5.57	10.31	0.1050	0.0158
Q3 2028	31.52	11.07	20.44	0.4200	0.0630
Q4 2028	39.40	13.84	25.55	0.5250	0.0788
Q1 2029	47.28	16.61	30.66	0.6300	0.0945
Q2 2029	54.17	19.03	35.14	0.7219	0.1083
Q3 2029	64.02	22.49	41.52	0.8531	0.1280
Q4 2029	72.88	25.61	47.27	0.9713	0.1457
Q1 2030	80.76	28.38	52.39	1.08	0.1614
Q2 2030	87.66	30.80	56.86	1.17	0.1752
Q3 2030	93.57	32.88	60.69	1.25	0.1870
Q4 2030	99.48	34.95	64.52	1.33	0.1988

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

Weaver / OmniConnect: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	0.00	0.00	0.00	0.00	0.00
Q1 2027	0.00	0.00	0.00	0.00	0.00
Q2 2027	0.00	0.00	0.00	0.00	0.00
Q3 2027	30.00	7.50	22.50	0.00	0.00
Q4 2027	42.00	10.50	31.50	0.00	0.00
Q1 2028	55.00	13.75	41.25	0.00	0.00
Q2 2028	68.00	17.00	51.00	0.00	0.00
Q3 2028	100.00	25.00	75.00	0.00	0.00
Q4 2028	125.00	31.25	93.75	0.00	0.00
Q1 2029	148.00	37.00	111.00	0.00	0.00
Q2 2029	168.00	42.00	126.00	0.00	0.00
Q3 2029	190.00	47.50	142.50	0.00	0.00
Q4 2029	215.00	53.75	161.25	0.00	0.00
Q1 2030	235.00	58.75	176.25	0.00	0.00
Q2 2030	250.00	62.50	187.50	0.00	0.00
Q3 2030	264.00	66.00	198.00	0.00	0.00
Q4 2030	278.00	69.50	208.50	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

CPO / NPO external sales: complete product economics

USD millions; external invoice boundaries preserved

Quarter	Revenue	COGS	GP	Lost-unit receipts	Price-discount receipts
Q4 2026	0.00	0.00	0.00	0.00	0.00
Q1 2027	0.00	0.00	0.00	0.00	0.00
Q2 2027	0.00	0.00	0.00	0.00	0.00
Q3 2027	6.00	2.10	3.90	0.00	0.00
Q4 2027	8.00	2.80	5.20	0.00	0.00
Q1 2028	9.00	3.15	5.85	0.00	0.00
Q2 2028	10.00	3.50	6.50	0.00	0.00
Q3 2028	22.00	7.70	14.30	0.00	0.00
Q4 2028	28.00	9.80	18.20	0.00	0.00
Q1 2029	33.00	11.55	21.45	0.00	0.00
Q2 2029	38.00	13.30	24.70	0.00	0.00
Q3 2029	46.00	16.10	29.90	0.00	0.00
Q4 2029	53.00	18.55	34.45	0.00	0.00
Q1 2030	59.00	20.65	38.35	0.00	0.00
Q2 2030	64.00	22.40	41.60	0.00	0.00
Q3 2030	69.00	24.15	44.85	0.00	0.00
Q4 2030	74.00	25.90	48.10	0.00	0.00

Product allocations and margins are analytical estimates. Consolidated qualification, engineering and support expense is retained in the company opex schedule.

Sources: [S1], [S2], [S4], [S5], [S7], [S8].

Manufacturing, accepted units and continuing support

Model receipts require physical accepted output. ZeroFlap module quantities are expressed as a monthly run rate using the inherited $300 module-ASP proxy. The ALC programme retains a $400 cable-ASP proxy and its own pre-competition unit cost. These quantities support an explicit manufacturing check.

The source set supplies no current accepted factory capacity, mature array yield, Credo-specific laser allocation or complete delivered assembly cost. Those cells remain unmeasured. Raw emitter efficiency, a lane-pass fraction or a prospective industry capacity increase does not resolve the finished-product constraint.

Capital expenditure, inventory growth and capacity deposits pay for the operating plan. Lost ALC units release only the selected avoidable costs; qualification, fixed manufacturing and response support continue. Actual throughput, acceptance, price and warranty/rework cost are the evidence needed to change that bridge.

Manufacturing output and paid support diagnostics

Revenue USD millions; ASP/unit cost USD; monthly units

Quarter	ZeroFlap R	ASP proxy	Monthly units needed	ALC R	ALC lost units R	Pre-competition ALC unit cost
Q4 2026	25.00	300	27,777.78	0.00	0.00	140
Q1 2027	89.04	300	98,933.33	0.00	0.00	140
Q2 2027	158.16	300	175,727.95	0.00	0.00	140
Q3 2027	200.00	300	222,222.22	10.00	0.00	140
Q4 2027	270.00	300	300,000.00	12.00	0.00	140
Q1 2028	330.00	300	366,666.67	13.95	0.0459	140
Q2 2028	400.00	300	444,444.44	15.88	0.1050	140
Q3 2028	440.00	300	488,888.89	31.52	0.4200	140
Q4 2028	480.00	300	533,333.33	39.40	0.5250	140
Q1 2029	520.00	300	577,777.78	47.28	0.6300	140
Q2 2029	560.00	300	622,222.22	54.17	0.7219	140
Q3 2029	590.00	300	655,555.56	64.02	0.8531	140
Q4 2029	620.00	300	688,888.89	72.88	0.9713	140
Q1 2030	650.00	300	722,222.22	80.76	1.08	140
Q2 2030	680.00	300	755,555.56	87.66	1.17	140
Q3 2030	710.00	300	788,888.89	93.57	1.25	140
Q4 2030	740.00	300	822,222.22	99.48	1.33	140

Module ASP and required output are analytical proxies. Actual accepted factory capacity, mature yield, laser allocations and customer acceptance counts are undisclosed.

Sources: [S1], [S2], [S4], [S5], [S7].

Paid equipment and a matched depreciation law

The central physical-capital model starts with $114.462 million of PPE and a 16-quarter remaining-life proxy. Paid capex equals 2% of company revenue. Each new cohort enters service after one quarter and depreciates over 20 quarters.

The original non-GAAP cost structure already contains the ordinary DA component. Default DA is therefore decomposed inside existing costs, with 70% allocated to COGS and 30% to opex. Only a stressed capital input's DA difference changes valued OP. The same complete DA then appears in the cash addback.

This law makes capex and profit respond coherently to capital scale, asset life and commissioning lag. It preserves the original product-margin/opex economics at the central selection while exposing the paid cash and asset roll. Higher paid capital cannot create a cash benefit through an unmatched addback.

Equipment lives, readiness, future purchased assets and product manufacturing capacity remain forecast proxies. The capital path is a company accounting/cash bridge and does not claim a measured wafer or laser allocation.

Every quarter of paid capital and depreciation

USD millions

Quarter	Paid capex	Ordinary DA	Extra DA expensed	PPE close
Q4 2026	10.60	7.15	0.00	117.91
Q1 2027	12.72	7.68	0.00	122.94
Q2 2027	16.54	8.32	0.00	131.16
Q3 2027	19.93	9.15	0.00	141.94
Q4 2027	22.50	10.14	0.00	154.30
Q1 2028	25.41	11.27	0.00	168.44
Q2 2028	29.11	12.54	0.00	185.01
Q3 2028	32.20	13.99	0.00	203.22
Q4 2028	34.81	15.60	0.00	222.42
Q1 2029	37.28	17.34	0.00	242.36
Q2 2029	39.59	19.21	0.00	262.74
Q3 2029	42.01	21.19	0.00	283.56
Q4 2029	44.48	23.29	0.00	304.75
Q1 2030	46.76	25.51	0.00	326.00
Q2 2030	48.92	27.85	0.00	347.07
Q3 2030	51.10	30.30	0.00	367.87
Q4 2030	53.33	25.70	0.00	395.50

Default paid capex 2% of revenue; opening 114.462 PPE/16 quarters, new cohorts 1 quarter lag/20 quarter life. Existing non-GAAP cost already contains ordinary DA; only stressed-capital DA delta changes valued OP, with the same DA addback in cash.

Sources: [S1], [S7].

The non-GAAP valuation and complete GAAP reconciliation

The owner valuation uses 25x forward-four-quarter non-GAAP operating profit. Its sanctioned accounting basis excludes ordinary stock compensation, acquired intangible amortization and specified adjustments. Those costs remain visible in the GAAP and cash schedules.

The next-quarter guide implies $103.890 million of SBC:1.3% of $530 million in gross-profit adjustments plus $97 million in opex. Acquired amortization is $14.840 million, with $2 million of integration cash cost. Deducting those amounts from $257.900 million non-GAAP OP gives $137.170 million GAAP OP.

Future SBC grows 15% annually under the selected expense proxy. The remaining FY2027 amortization budget is $43.650 million; after $14.840 million in the first modeled quarter, the next two quarters use $14.405 million each. Later annual amortization follows the disclosed schedule and retained tail.

The non-GAAP-to-GAAP difference affects the ordinary earnings and ownership assessment even though the owner method retains its adjusted numerator. Cash stock-award withholding and the physical employee/earnout-share path are paid or diluted separately.

Non-GAAP to GAAP operating-profit reconciliation

USD millions

Quarter	Non-GAAP OP	SBC	Acquired amort	Integration cash	GAAP OP proxy
Q4 2026	257.90	103.89	14.84	2.00	137.17
Q1 2027	337.13	107.58	14.40	0.00	215.14
Q2 2027	465.43	111.41	14.40	0.00	339.62
Q3 2027	565.40	115.37	14.55	0.00	435.47
Q4 2027	642.50	119.47	14.55	0.00	508.48
Q1 2028	728.29	123.72	14.55	0.00	590.01
Q2 2028	836.03	128.12	14.55	0.00	693.36
Q3 2028	935.77	132.68	14.55	0.00	788.55
Q4 2028	1,014.46	137.39	14.55	0.00	862.52
Q1 2029	1,088.05	142.28	14.55	0.00	931.22
Q2 2029	1,156.61	147.34	14.55	0.00	994.72
Q3 2029	1,229.36	152.58	14.55	0.00	1,062.23
Q4 2029	1,304.96	158.00	14.55	0.00	1,132.40
Q1 2030	1,373.92	163.62	14.55	0.00	1,195.75
Q2 2030	1,438.23	169.44	14.55	0.00	1,254.24
Q3 2030	1,502.97	175.47	14.45	0.00	1,313.06
Q4 2030	1,568.99	181.70	14.45	0.00	1,372.84

The sanctioned 25x non-GAAP method excludes ordinary SBC, acquired amortization and specified costs. Those items remain visible in the complete GAAP/cash bridge.

Sources: [S1], [S7].

Opening cash and the acquisition cash already paid

At 1 August 2026, reported cash was $466.869 million and short-term investments $297.389 million, giving $764.258 million of opening available liquidity. The quarter's $735.619 million acquisition net cash outflow is already included in that ending cash balance.

The model begins after that reported acquisition payment. Future cash contains only remaining claims, operating/investment needs and conditional earnout settlement. The $300 million equity earnout accounting value and $10 million cash earnout carrying value have separate scopes from nominal future payments.

Opening receivables, inventory and payables are $288.798 million, $313.051 million and $101.822 million. Opening capacity deposits are $88.4 million, with $102.4 million of new committed payments. These operating cash assets and commitments are carried through their owning schedules.

Opening liquidity, working capital and claims

USD millions

Measure	Amount	Scope
Reported cash	466.87	Cash at 1 August 2026
Short-term investments	297.39	Short-term investments
Cash plus investments	764.26	Forecast opening available liquidity
AR	288.80	Receivables
Inventory	313.05	Inventory
AP	101.82	Payables
PPE	114.46	Opening physical asset book value
ROU	25.06	Operating ROU
Current operating lease liability	5.47	Current operating lease
Noncurrent operating lease liability	20.74	Noncurrent operating lease
Capacity deposits	88.40	Already paid operating cash assets
New capacity deposit commitment	102.40	New committed payments
Noncancelable inventory commitments	212.72	Already met through COGS/inventory forecast
License obligations	9.49	Existing license principal
Cash earnout carrying liability	10	Opening accounting fair value
Equity earnout carrying value	300	Opening equity accounting value

Acquisition net cash 735.619 is already included in reported ending cash 466.869 and does not recur in future cash. Cash plus 297.389 investments gives 764.258 opening liquidity.

Sources: [S1], [S7].

Working capital, manufacturing commitments and capacity deposits

Future AR uses the actual 288.798/479.003 revenue intensity. Inventory and AP use actual 313.051/153.208 and 101.822/153.208 non-GAAP COGS intensities. These normalized turns are low-confidence forecast proxies, with explicit stress controls.

The new $102.4 million deposit commitment is paid evenly over the three remaining FY2027 quarters. A growth reserve adds 5% of positive quarter-to-quarter COGS growth. Deposits remain cash assets; the model creates no depreciation or income merely by placing a deposit.

Purchase-credit refunds begin in Q3 2027 under an assumed 20-quarter schedule. Each refund is bounded by the available deposit balance,10% of quarterly COGS and the selected scheduled amount. A zero-refund case keeps the paid cash uses and tests recovery risk.

The $212.717 million firm manufacturing commitments are fulfilled inside forecast COGS, inventory and related cash use. A second blanket deduction would repeat the same operating plan. License principal of $9.495 million follows its separate source annual payment schedule, with existing depreciation retained inside costs.

Receivables, inventory, payables and paid-capital deposits

USD millions; positive NWC cash use reduces cash

Quarter	AR	Inventory	AP	NWC cash use	New deposits	Refund credit
Q4 2026	319.54	346.54	112.72	53.35	34.95	0.00
Q1 2027	383.45	387.96	126.19	91.85	35.15	0.00
Q2 2027	498.49	508.51	165.40	196.38	37.08	0.00
Q3 2027	600.77	614.08	199.73	173.52	2.58	9.54
Q4 2027	678.30	699.39	227.48	135.09	2.09	9.54
Q1 2028	766.06	793.62	258.13	151.34	2.31	9.54
Q2 2028	877.41	913.11	297.00	191.99	2.92	9.54
Q3 2028	970.66	1,010.70	328.74	159.09	2.39	9.54
Q4 2028	1,049.43	1,093.28	355.60	134.49	2.02	9.54
Q1 2029	1,123.93	1,171.81	381.14	127.49	1.92	9.54
Q2 2029	1,193.43	1,245.30	405.04	119.08	1.80	9.54
Q3 2029	1,266.32	1,321.43	429.80	124.26	1.86	9.54
Q4 2029	1,340.96	1,398.82	454.97	126.86	1.89	9.54
Q1 2030	1,409.57	1,470.74	478.37	117.14	1.76	9.54
Q2 2030	1,474.62	1,539.48	500.73	111.43	1.68	9.54
Q3 2030	1,540.40	1,608.85	523.29	112.59	1.70	9.54
Q4 2030	1,607.59	1,679.64	546.31	114.95	1.73	9.54

AR uses 288.798/479.003 revenue intensity; inventory and AP use 313.051/153.208 and 101.822/153.208 non-GAAP COGS intensities. These normalized future turns are low-confidence proxies.

Capacity deposit and licensing claims

USD millions

Quarter	Committed deposit cash	Growth deposit cash	Refund credit	Deposit asset	License principal	License balance
Q4 2026	34.13	0.8196	0.00	123.35	1.17	8.32
Q1 2027	34.13	1.01	0.00	158.50	1.17	7.15
Q2 2027	34.13	2.95	0.00	195.58	1.17	5.98
Q3 2027	0.00	2.58	9.54	188.63	1.50	4.49
Q4 2027	0.00	2.09	9.54	181.17	1.50	2.99
Q1 2028	0.00	2.31	9.54	173.94	1.50	1.50
Q2 2028	0.00	2.92	9.54	167.32	1.50	0.00
Q3 2028	0.00	2.39	9.54	160.17	0.00	0.00
Q4 2028	0.00	2.02	9.54	152.65	0.00	0.00
Q1 2029	0.00	1.92	9.54	145.03	0.00	0.00
Q2 2029	0.00	1.80	9.54	137.29	0.00	0.00
Q3 2029	0.00	1.86	9.54	129.62	0.00	0.00
Q4 2029	0.00	1.89	9.54	121.97	0.00	0.00
Q1 2030	0.00	1.76	9.54	114.19	0.00	0.00
Q2 2030	0.00	1.68	9.54	106.33	0.00	0.00
Q3 2030	0.00	1.70	9.54	98.49	0.00	0.00
Q4 2030	0.00	1.73	9.54	90.68	0.00	0.00

88.4 opening deposits plus 102.4 new committed paid over remaining FY27; purchase-credit refunds from Q3 2027 over 20 quarters, bounded by available asset and 10% COGS. Positive COGS growth adds 5% reserve. License 9.495 principal paid on source annual schedule.

Sources: [S1], [S7].

Tax, interest and cash conversion

The company cash bridge starts from GAAP net income. It adds back SBC, acquired amortization, ordinary DA and the signed noncash earnout remeasurement, then adjusts book-versus-cash tax, NWC and capacity-deposit cash. Actual nominal earnout payment enters the later separate waterfall.

Interest income uses 3% annual interest on opening positive available cash. Book and cash tax each use 10% of positive GAAP PBT before the earnout mark. This avoids a cash refund created solely by a forecast fair-value loss. A 15% cash-tax case provides a separate bound.

The reported Q1 book tax benefit reflects purchase accounting, and interim paid cash tax is not separately disclosed in the available notes. The future rates and timing therefore remain proxies. Interest cash and investment balances are modeled consistently but provide no separate addition to the operating-profit valuation numerator.

Book earnings and cash-tax proxy

USD millions

Quarter	GAAP OP proxy	Interest income	Earnout mark expense	PBT proxy	Book tax	NI proxy
Q4 2026	137.17	5.73	0.00	142.90	14.29	128.61
Q1 2027	215.14	6.69	0.00	221.84	22.18	199.65
Q2 2027	339.62	7.91	0.00	347.52	34.75	312.77
Q3 2027	435.47	9.16	0.00	444.64	44.46	400.17
Q4 2027	508.48	11.58	0.00	520.06	52.01	468.05
Q1 2028	590.01	14.81	0.00	604.82	60.48	544.34
Q2 2028	693.36	18.49	12.12	699.73	71.19	628.55
Q3 2028	788.55	22.43	0.00	810.98	81.10	729.88
Q4 2028	862.52	27.48	0.00	890.00	89.00	801.00
Q1 2029	931.22	33.27	0.00	964.49	96.45	868.04
Q2 2029	994.72	39.64	0.00	1,034.36	103.44	930.92
Q3 2029	1,062.23	46.56	0.00	1,108.80	110.88	997.92
Q4 2029	1,132.40	53.98	0.00	1,186.38	118.64	1,067.74
Q1 2030	1,195.75	61.92	0.00	1,257.67	125.77	1,131.90
Q2 2030	1,254.24	70.45	0.00	1,324.69	132.47	1,192.22
Q3 2030	1,313.06	79.51	0.00	1,392.57	139.26	1,253.31
Q4 2030	1,372.84	89.06	0.00	1,461.89	146.19	1,315.70

Tax 10% of positive GAAP PBT before earnout remeasurement. Book/cash same proxy; cash paid tax not separately disclosed. Interest 3% annual on opening positive cash. 15% tax stress supplied.

Complete earnings-to-operating-cash bridge

USD millions

Quarter	NI proxy	Noncash addbacks	NWC use	Deposit cash net	Book/cash tax delta	CFO
Q4 2026	128.61	125.88	53.35	34.95	0.00	166.20
Q1 2027	199.65	129.67	91.85	35.15	0.00	202.33
Q2 2027	312.77	134.13	196.38	37.08	0.00	213.45
Q3 2027	400.17	139.07	173.52	-6.96	0.00	372.68
Q4 2027	468.05	144.17	135.09	-7.45	0.00	484.58
Q1 2028	544.34	149.54	151.34	-7.23	0.00	549.78
Q2 2028	628.55	167.33	191.99	-6.62	0.00	610.50
Q3 2028	729.88	161.22	159.09	-7.15	0.00	739.17
Q4 2028	801.00	167.55	134.49	-7.52	0.00	841.58
Q1 2029	868.04	174.17	127.49	-7.62	0.00	922.35
Q2 2029	930.92	181.10	119.08	-7.74	0.00	1,000.68
Q3 2029	997.92	188.32	124.26	-7.68	0.00	1,069.65
Q4 2029	1,067.74	195.84	126.86	-7.65	0.00	1,144.37
Q1 2030	1,131.90	203.68	117.14	-7.78	0.00	1,226.23
Q2 2030	1,192.22	211.84	111.43	-7.86	0.00	1,300.49
Q3 2030	1,253.31	220.21	112.59	-7.84	0.00	1,368.78
Q4 2030	1,315.70	221.85	114.95	-7.81	0.00	1,430.41

Noncash addbacks retain signed earnout fair-value adjustment. Actual nominal earnout cash enters the separate financing waterfall once.

Sources: [S1], [S7].

Closed Dust earnout: cash, accounting and physical shares

Closed terms cap the remaining cash earnout at $31.6 million and equity at 2.8 million shares. These terms supersede the earlier announced 3.21 million-share illustration. The model assigns 70% trigger probability and Q2 2028 settlement as an explicit timing assumption; the complete source milestone calendar remains unresolved.

The opening $10 million cash liability is an accounting fair value. At the modeled settlement, a triggered path remeasures it to $31.6 million through a $21.6 million below-OP expense, while an untriggered path releases the $10 million liability. The full signed mark is added back in CFO, and nominal cash is paid once.

Expected nominal cash settlement is $22.12 million. The $300 million equity carrying value remains a separate purchase-accounting measurement. Physical earnout shares consume the existing diluted-share allowance, so the model avoids a second addition to the valuation denominator.

Book measurement and timing are proxies around the closed nominal maxima. The model retains this uncertainty and shows trigger 0% and 100% cases without importing an acquisition cash outflow that was already paid.

Closed Dust earnout: accounting and cash scopes

USD millions except shares/probabilities/date

Control	Amount / input	Treatment
Cash nominal maximum	31.60	Closed source terms
Equity share maximum M	2.80	Within existing dilution allowance
Opening cash fair-value liability	10	Accounting carrying value
Opening equity accounting value	300	Separate equity measurement
Trigger probability	0.7000	Analytical milestone judgment
Settlement date	Q2 2028	Assumed timing; source milestone calendar incomplete
Triggered below-OP cash-liability mark	21.60	31.6 nominal minus 10 opening liability
Untriggered below-OP mark	-10	Release opening cash liability
Expected cash settlement	22.12	70% x 31.6; paid once

Acquisition 735.619 net cash already occurred before opening liquidity. Old announced 3.21 m earnout share illustration is superseded by closed 2.8 m maximum.

Sources: [S1], [S7].

Physical employee shares and the existing diluted allowance

The selected valuation retains 200 million diluted shares in the guided quarter,205 million in the next forecast quarter and 1.5 million additional shares per quarter thereafter. The active Q4 2027 denominator is 209.5 million. This is the existing starting-quarter convention.

The physical issued-share roll begins at 187.768 million and adds 1.5 million net employee shares per quarter. Conditional 2.8 million earnout shares enter on settlement. Those physical claims consume the existing difference between issued shares and the retained diluted allowance.

Withholding cash scales from the actual $25.938 million with the SBC expense path. Employee proceeds start from $4.452 million and grow 10% annually. An independent execution-price proxy of $120 growing 5% annually identifies the withheld-share equivalent; it remains separate from the calculated target.

Any genuinely new conditional funding shares are added once on top of the existing valuation allowance after issuance. The central case draws no such funding. A 10% higher-dilution sensitivity displays the per-share risk directly.

Issued shares, existing dilution allowance and valuation shares

Millions of shares

Quarter	Issued start M	Employee new M	Earnout new M	Issued end M	Diluted allowance M	Valuation shares M
Q4 2026	187.77	1.50	0.00	189.27	12.23	200.00
Q1 2027	189.27	1.50	0.00	190.77	15.73	205.00
Q2 2027	190.77	1.50	0.00	192.27	15.73	206.50
Q3 2027	192.27	1.50	0.00	193.77	15.73	208.00
Q4 2027	193.77	1.50	0.00	195.27	15.73	209.50
Q1 2028	195.27	1.50	0.00	196.77	15.73	211.00
Q2 2028	196.77	1.50	1.96	200.23	15.73	212.50
Q3 2028	200.23	1.50	0.00	201.73	13.77	214.00
Q4 2028	201.73	1.50	0.00	203.23	13.77	215.50
Q1 2029	203.23	1.50	0.00	204.73	13.77	217.00
Q2 2029	204.73	1.50	0.00	206.23	13.77	218.50
Q3 2029	206.23	1.50	0.00	207.73	13.77	220.00
Q4 2029	207.73	1.50	0.00	209.23	13.77	221.50
Q1 2030	209.23	1.50	0.00	210.73	13.77	223.00
Q2 2030	210.73	1.50	0.00	212.23	13.77	224.50
Q3 2030	212.23	1.50	0.00	213.73	13.77	226.00
Q4 2030	213.73	1.50	0.00	215.23	13.77	227.50

Retain 200 m guide, 205 m forecast then + 1.5 m/q. Employee and 2.8 m conditional earnout shares consume the existing diluted allowance. New conditional funding shares would be added once.

Sources: [S1], [S7].

Operating lease cash and recurring replacement

Opening operating lease liabilities are $26.205 million, with a $25.061 million ROU asset. The selected $1.5 million quarterly lease cash/expense is already inside ordinary opex and CFO.

A 5% interest allocation and matched replacement ROU amount provide a recurring roll proxy. The principal allocation is the difference between lease cash and allocated interest; replacement assets/claims match that principal under the selected central assumption.

These future cash, rate and replacement quantities are analytical. The model retains the source opening liability and ROU and exposes the future roll without a second lease-cash subtraction.

Operating leases and recurring replacement proxy

USD millions

Quarter	Expense/CFO cash	Interest allocation	Principal allocation	New replacement ROU	Lease claim	ROU asset
Q4 2026	1.50	0.3276	1.17	1.17	26.20	25.06
Q1 2027	1.50	0.3276	1.17	1.17	26.20	25.06
Q2 2027	1.50	0.3276	1.17	1.17	26.20	25.06
Q3 2027	1.50	0.3276	1.17	1.17	26.20	25.06
Q4 2027	1.50	0.3276	1.17	1.17	26.20	25.06
Q1 2028	1.50	0.3276	1.17	1.17	26.20	25.06
Q2 2028	1.50	0.3276	1.17	1.17	26.20	25.06
Q3 2028	1.50	0.3276	1.17	1.17	26.20	25.06
Q4 2028	1.50	0.3276	1.17	1.17	26.20	25.06
Q1 2029	1.50	0.3276	1.17	1.17	26.20	25.06
Q2 2029	1.50	0.3276	1.17	1.17	26.20	25.06
Q3 2029	1.50	0.3276	1.17	1.17	26.20	25.06
Q4 2029	1.50	0.3276	1.17	1.17	26.20	25.06
Q1 2030	1.50	0.3276	1.17	1.17	26.20	25.06
Q2 2030	1.50	0.3276	1.17	1.17	26.20	25.06
Q3 2030	1.50	0.3276	1.17	1.17	26.20	25.06
Q4 2030	1.50	0.3276	1.17	1.17	26.20	25.06

1.5 quarterly lease cash/expense already enters opex/CFO. 5% interest allocation and matched replacement ROU are analytical roll proxies; no second lease cash deduction.

Sources: [S1], [S7].

The complete company cash and funding path

Every quarter begins with the previous cash balance, adds operating cash and employee proceeds, and pays capital, stock-award withholding, license principal and any nominal earnout. The central company forecast has no dividend, buyback or financial-debt repayment.

The $500 million cash reserve is an analyst floor. All eight positive-probability cash paths remain above it, with minimum cash of $892.614 million. The central conditional-equity draw is zero, so the company forecast needs no new equity transaction under the selected operating/cash assumptions.

Stress funding has a finite $1 billion gross cap,2% fee and an independent execution-price path. The most severe capital diagnostic still has an unfinanced gap after using that capacity. The report preserves that remaining shortfall alongside the central cash result.

Complete cash and funding waterfall

USD millions

Quarter	Start cash	CFO	Capex	Other net uses	Conditional equity net	End cash
Q4 2026	764.26	166.20	10.60	27.24	0.00	892.61
Q1 2027	892.61	202.33	12.72	28.22	0.00	1,054.00
Q2 2027	1,054.00	213.45	16.54	29.23	0.00	1,221.68
Q3 2027	1,221.68	372.68	19.93	30.61	0.00	1,543.82
Q4 2027	1,543.82	484.58	22.50	31.70	0.00	1,974.19
Q1 2028	1,974.19	549.78	25.41	32.83	0.00	2,465.72
Q2 2028	2,465.72	610.50	29.11	56.13	0.00	2,991.00
Q3 2028	2,991.00	739.17	32.20	33.73	0.00	3,664.23
Q4 2028	3,664.23	841.58	34.81	34.99	0.00	4,436.01
Q1 2029	4,436.01	922.35	37.28	36.30	0.00	5,284.78
Q2 2029	5,284.78	1,000.68	39.59	37.65	0.00	6,208.21
Q3 2029	6,208.21	1,069.65	42.01	39.06	0.00	7,196.79
Q4 2029	7,196.79	1,144.37	44.48	40.51	0.00	8,256.17
Q1 2030	8,256.17	1,226.23	46.76	42.02	0.00	9,393.61
Q2 2030	9,393.61	1,300.49	48.92	43.59	0.00	10,601.60
Q3 2030	10,601.60	1,368.78	51.10	45.21	0.00	11,874.06
Q4 2030	11,874.06	1,430.41	53.33	46.89	0.00	13,204.25

Other net uses itemized separately. Central conditional funding is zero in all 8 positive-probability states; the lowest cash 892.613533 exceeds 500 reserve.

Employee cash, earnout and license payments

USD millions

Quarter	Withholding	Employee proceeds	Earnout cash	License principal	FCF
Q4 2026	30.63	4.56	0.00	1.17	155.60
Q1 2027	31.72	4.67	0.00	1.17	189.61
Q2 2027	32.85	4.78	0.00	1.17	196.91
Q3 2027	34.01	4.90	0.00	1.50	352.75
Q4 2027	35.22	5.02	0.00	1.50	462.08
Q1 2028	36.48	5.14	0.00	1.50	524.36
Q2 2028	37.77	5.26	22.12	1.50	581.40
Q3 2028	39.12	5.39	0.00	0.00	706.97
Q4 2028	40.51	5.52	0.00	0.00	806.77
Q1 2029	41.95	5.65	0.00	0.00	885.06
Q2 2029	43.44	5.79	0.00	0.00	961.09
Q3 2029	44.98	5.93	0.00	0.00	1,027.64
Q4 2029	46.58	6.07	0.00	0.00	1,099.89
Q1 2030	48.24	6.21	0.00	0.00	1,179.47
Q2 2030	49.95	6.36	0.00	0.00	1,251.57
Q3 2030	51.73	6.52	0.00	0.00	1,317.68
Q4 2030	53.57	6.68	0.00	0.00	1,377.09

Withholding scales from 25.938 actual with SBC; employee proceeds 4.452 grow 10% annually. No automatic buyback or dividend is modeled.

Every central joint cash path

Cash USD millions; diluted shares millions

AEC / ALC / earnout	Joint weight %	Minimum cash	Q4 2030 cash	Lifetime funding net	Q4 2030 shares M
Off / Off / Off	16.59	892.61	12,830.61	0.00	227.50
Off / Off / On	38.71	892.61	12,796.81	0.00	227.50
Off / On / Off	4.41	892.61	12,806.37	0.00	227.50
Off / On / On	10.29	892.61	12,772.57	0.00	227.50
On / Off / Off	7.11	892.61	14,171.93	0.00	227.50
On / Off / On	16.59	892.61	14,138.13	0.00	227.50
On / On / Off	1.89	892.61	14,147.68	0.00	227.50
On / On / On	4.41	892.61	14,113.88	0.00	227.50

Each path retains 17 quarterly operations, cash, working capital, claims and ownership rolls. The linked model exposes all rows.

Sources: [S1], [S7].

Joint outcome weights and the direct-drive boundary

The central joint outcomes combine a 30% AEC market event,21% ALC competitive event and 70% earnout trigger. Their probabilities are multiplied across the explicitly selected dimensions. The eight resulting positive-probability paths sum to 100%.

The linked model also reserves the parallel direct-drive outcomes, giving 16 fixed branches in its live calculation design. Their central weight is zero because direct-drive probability is zero within the active forecast. The early-2029 five-percent diagnostic activates the same bounded source controls.

Each central path retains 17 quarters of product operations, GAAP/cash adjustments, claims, working capital and shares. Funding limits are tested before the probability-weighted company result is calculated. Actual correlation between market adoption, competition and milestones remains a limitation of the selected product weights.

Fixed 16 native branches and 8 central paths

Percent probabilities

AEC	ALC competition	Earnout	Direct drive	Weight %	Scope
Off	Off	Off	Off	16.59	Current positive-weight path
Off	Off	Off	On	0	Zero-weight direct-drive diagnostic branch
Off	Off	On	Off	38.71	Current positive-weight path
Off	Off	On	On	0	Zero-weight direct-drive diagnostic branch
Off	On	Off	Off	4.41	Current positive-weight path
Off	On	Off	On	0	Zero-weight direct-drive diagnostic branch
Off	On	On	Off	10.29	Current positive-weight path
Off	On	On	On	0	Zero-weight direct-drive diagnostic branch
On	Off	Off	Off	7.11	Current positive-weight path
On	Off	Off	On	0	Zero-weight direct-drive diagnostic branch
On	Off	On	Off	16.59	Current positive-weight path
On	Off	On	On	0	Zero-weight direct-drive diagnostic branch
On	On	Off	Off	1.89	Current positive-weight path
On	On	Off	On	0	Zero-weight direct-drive diagnostic branch
On	On	On	Off	4.41	Current positive-weight path
On	On	On	On	0	Zero-weight direct-drive diagnostic branch

Central direct-drive probability 0 retains 8 positive-weight financial states. The saved native workbook reserves all 16 branches for live direct-drive diagnostics.

Sources: [S4], [S5], [S7].

All quarterly targets and preserved historical forecasts

The current owner formula is 25 times four consecutive quarterly non-GAAP operating-profit amounts divided by starting-quarter diluted shares. The active Q4 2027 window uses $3,142.590119 million of OP and 209.5 million shares, producing $375.010754.

Fourteen complete windows run from Q4 2026 through Q1 2030. All 17 financial quarters continue through Q4 2030 to support those windows. Q2 - Q4 2030 target outputs remain genuine blanks because four forward quarters are unavailable; their 25 x multiple controls remain present.

The earlier published Q3 2026 ceiling remains $163.4272396445337 with its original rolling-window inputs and formula vintage. The complete original report retains its source images, earlier forecasts and dated engineering/evidence assessments. Current financial tables and target calculations appear first.

The sanctioned price method has no separate cash/debt adjustment. Cash, deposits, licenses, lease claims, employee withholding and earnout costs are still fully modeled because they affect financing and ownership quality. Exact selected unrounded values determine each ceiling; displayed component sums are rounded.

Every current and future calculated ceiling

OP USD millions; ceiling USD per diluted share

Quarter	F4 window end	F4 non-GAAP OP	Multiple	Start shares M	Ceiling
Q4 2026	Q3 2027	1,625.86	25	200.00	203.23
Q1 2027	Q4 2027	2,010.46	25	205.00	245.18
Q2 2027	Q1 2028	2,401.62	25	206.50	290.75
Q3 2027	Q2 2028	2,772.21	25	208.00	333.20
Q4 2027	Q3 2028	3,142.59	25	209.50	375.01
Q1 2028	Q4 2028	3,514.55	25	211.00	416.42
Q2 2028	Q1 2029	3,874.32	25	212.50	455.80
Q3 2028	Q2 2029	4,194.90	25	214.00	490.06
Q4 2028	Q3 2029	4,488.49	25	215.50	520.71
Q1 2029	Q4 2029	4,778.98	25	217.00	550.57
Q2 2029	Q1 2030	5,064.85	25	218.50	579.50
Q3 2029	Q2 2030	5,346.47	25	220.00	607.55
Q4 2029	Q3 2030	5,620.08	25	221.50	634.32
Q1 2030	Q4 2030	5,884.11	25	223.00	659.65
Q2 2030	Blank	Blank	25	Blank	Blank
Q3 2030	Blank	Blank	25	Blank	Blank
Q4 2030	Blank	Blank	25	Blank	Blank

Q2 - Q4 2030 incomplete-window outputs remain genuine blanks. Existing historical Q3 2026 ceiling 163.4272396445337 retains original rolling-window/formula vintage.

All 14 complete forward-window derivations

USD millions except shares/price

Quarter	Four selected non-GAAP OP values	Start shares M	Multiple	Ceiling
Q4 2026	257.900 + 337.133 + 465.434 + 565.396	200.00	25	203.23
Q1 2027	337.133 + 465.434 + 565.396 + 642.502	205.00	25	245.18
Q2 2027	465.434 + 565.396 + 642.502 + 728.285	206.50	25	290.75
Q3 2027	565.396 + 642.502 + 728.285 + 836.029	208.00	25	333.20
Q4 2027	642.502 + 728.285 + 836.029 + 935.774	209.50	25	375.01
Q1 2028	728.285 + 836.029 + 935.774 + 1,014.464	211.00	25	416.42
Q2 2028	836.029 + 935.774 + 1,014.464 + 1,088.052	212.50	25	455.80
Q3 2028	935.774 + 1,014.464 + 1,088.052 + 1,156.609	214.00	25	490.06
Q4 2028	1,014.464 + 1,088.052 + 1,156.609 + 1,229.362	215.50	25	520.71
Q1 2029	1,088.052 + 1,156.609 + 1,229.362 + 1,304.957	217.00	25	550.57
Q2 2029	1,156.609 + 1,229.362 + 1,304.957 + 1,373.920	218.50	25	579.50
Q3 2029	1,229.362 + 1,304.957 + 1,373.920 + 1,438.230	220.00	25	607.55
Q4 2029	1,304.957 + 1,373.920 + 1,438.230 + 1,502.972	221.50	25	634.32
Q1 2030	1,373.920 + 1,438.230 + 1,502.972 + 1,568.992	223.00	25	659.65

Rounded component displays support reading. Exact unrounded selected OP/share values determine the published result.

Sources: [S7], [S8].

Full-company bounds and the fiscal cross-check

The 23 diagnostics vary competitive probability, AEC capture/adoption, ALC/NPO delay, optical revenue, early direct drive, paid capital and commissioning, deposit recovery, tax, inventory, dilution, earnout and extreme financing. Each keeps the complete company cash and ownership law.

Removing the new ALC competition branch restores the previous $375.072816 active ceiling. Setting it to 100% gives $374.777283. The small difference reflects the limited eligible ALC receipt pool and dated conversion ramp.

The AEC market-case 0% bound gives $361.802900 under the other current inputs;100% gives $405.829079. Optical revenue 10% below the existing path gives $356.797866. A 10% increase in the retained share path lowers the active result to $340.918867.

Paid capex +20% changes both new-cohort DA expense and the matching cash addback. The extreme unfunded capital case has a $5.003 billion reserve gap. Using the finite equity capacity supplies at most $980 million net and still leaves a $4.012 billion gap, with extra shares lowering per-share value.

The fiscal-year cross-check sums the actual modeled reporting buckets. FY2027 contains the three future quarters after reported Q1, while FY2031 contains two modeled quarters. These partial-year rows retain their explicit quarter count; period-end cash is a stock.

All 23 bounded complete-model cases

Price USD/share; cash USD millions

Case	Active ceiling	Q1 2030 ceiling	Minimum state cash	Max funding net	Max reserve gap
Current selected	375.01	659.65	892.61	0.00	0
ALC competition 0%	375.07	660.08	892.61	0.00	0
ALC competition 100%	374.78	658.04	892.61	0.00	0
AEC market case 0%	361.80	638.01	892.61	0.00	0
AEC market case 100%	405.83	710.16	892.61	0.00	0
AEC capture 15%	361.80	638.01	892.61	0.00	0
AEC capture 35%	398.18	684.07	892.61	0.00	0
ALC slips 2 quarters	372.09	655.56	892.61	0.00	0
NPO slips 2 quarters	372.99	656.45	892.61	0.00	0
Optical revenues -10%	356.80	629.05	895.98	0.00	0
AEC 5% eligible competition	374.84	659.32	892.61	0.00	0
Direct drive early 2029, 5%	375.01	659.51	892.61	0.00	0
Paid capex +20%, full DA	374.55	657.68	890.49	0.00	0
Paid capex 0, full DA	377.32	669.51	903.21	0.00	0
New capital 0 lag	374.36	658.53	892.14	0.00	0
Deposit refunds 0	375.01	659.65	892.61	0.00	0
Cash tax 15%	375.01	659.65	885.47	0.00	0
Inventory +50%	375.01	659.65	719.34	0.00	0
Dilution +10%	340.92	599.69	892.61	0.00	0
Earnout 0%	375.01	659.65	892.61	0.00	0
Earnout 100%	375.01	659.65	892.61	0.00	0
Extreme capex, unfunded	308.12	373.90	-4,503.26	0.00	5,003.26
Extreme capex, finite equity	299.28	360.83	-3,511.72	980.00	4,011.72

The extreme finite funding case is capped at 1000 gross/980 net and retains any unfunded gap. Paid capital cases expense the same new-cohort DA that is added back in cash.

Fiscal-bucket flow cross-check

USD millions; fiscal reporting buckets

Fiscal year	Modeled quarters	Revenue	Non-GAAP OP	CFO	Capex	Period-end cash
2027	3	1,992.80	1,060.47	581.97	39.86	1,221.68
2028	4	4,847.36	2,772.21	2,017.54	96.95	2,991.00
2029	4	7,194.13	4,194.90	3,503.77	143.88	6,208.21
2030	4	9,108.21	5,346.47	4,740.73	182.16	10,601.60
2031	2	5,221.29	3,071.96	2,799.19	104.43	13,204.25

FY2027 contains the 3 future quarters after reported Q1; FY2031 contains 2 modeled quarters. Rows with fewer than 4 quarters are explicit partial-year sums. Period-end cash is a stock.

Sources: [S7].

Framework score and what would change the case

The analytical score remains 45 out of 60, or 75 out of 100. Core thesis is 17/20, cycle 10/10, TAM 9/10, catalysts 5/5, macro 8/10 and alpha 1/5. The five-point risk deduction already covers competition, qualification, customer concentration, dilution and manufacturing.

The new technical evidence creates an explicit costed competitive branch. It establishes no accepted Credo customer loss or measured moat change that supports a further category move. Protected Excel Base and analytical Base therefore both remain 75.

The strongest upgrades would be paid design-ins, accepted output and measured delivered-link economics that support a larger incremental receipt pool after substitution. Downgrades would follow matched customer losses, delays, poor yield/cost, weaker capture, cash demands or additional claims beyond the selected limits.

Framework score arithmetic

Framework points

Category	Points	Maximum
Core thesis	17	20
Cycle	10	10
TAM	9	10
Catalysts	5	5
Macro	8	10
Alpha	1	5
Risks	-5	0
Total	45	60

Analytical Base 75 and protected Excel Base 75 retained. Existing five-point risk deduction covers competition, qualification, concentration, dilution and manufacturing.

Sources: [S1], [S2], [S4], [S5], [S7].

Cross-company links and useful next evidence

Credo participates in the same AI buildout as accelerator, memory, optical-component, foundry, server and data-center suppliers. Faster systems can require more links and higher useful bandwidth, while alternative optical architectures can change the supplier/invoice boundary.

The InP supply discussion and industry capacity figures require Credo-specific allocation, BOM and pricing before they change its margins. Competitor emitter power and foundry-integration concepts likewise need a complete qualified product and customer adoption bridge. The current model keeps those relationships as bounded tests.

The next useful evidence is a fully specified accepted link at relevant distance, payload, temperature and power; a delivered cable cost/yield schedule; paid design-ins and actual output; updated customer/concentration data; manufacturing deposits and refunds; and resolved earnout milestones or new financing terms.

Sources: [S1], [S2], [S4], [S5], [S7].

Source scope, remaining gaps and the linked model

The source record preserves the complete visible Avicena body, all 175 referenced image identities and 22 material visual panels. The complete nine-page Mizuho document and five exhibits retain their anonymized attribution and underlying-call/data gaps. Licensed raw new research panels stay in the private source record.

The latest two earnings calls are supported by returned web prepared/Q&A coverage and previous complete-read lineage. Local call readback files are scoped extracts, with direct retrieval failures preserved. The saved issuer Q1 10-Q and closed Dust terms supply current cash, accounting and claim anchors. Independent audio verification remains incomplete.

Missing inputs include accepted customer qualifications, serial-production array yield, complete cable BOM/ASP, custom-fiber cost, Credo customer losses, product-level margins and paid factory/laser allocations. Some published figures remain redacted, with no hidden values reconstructed.

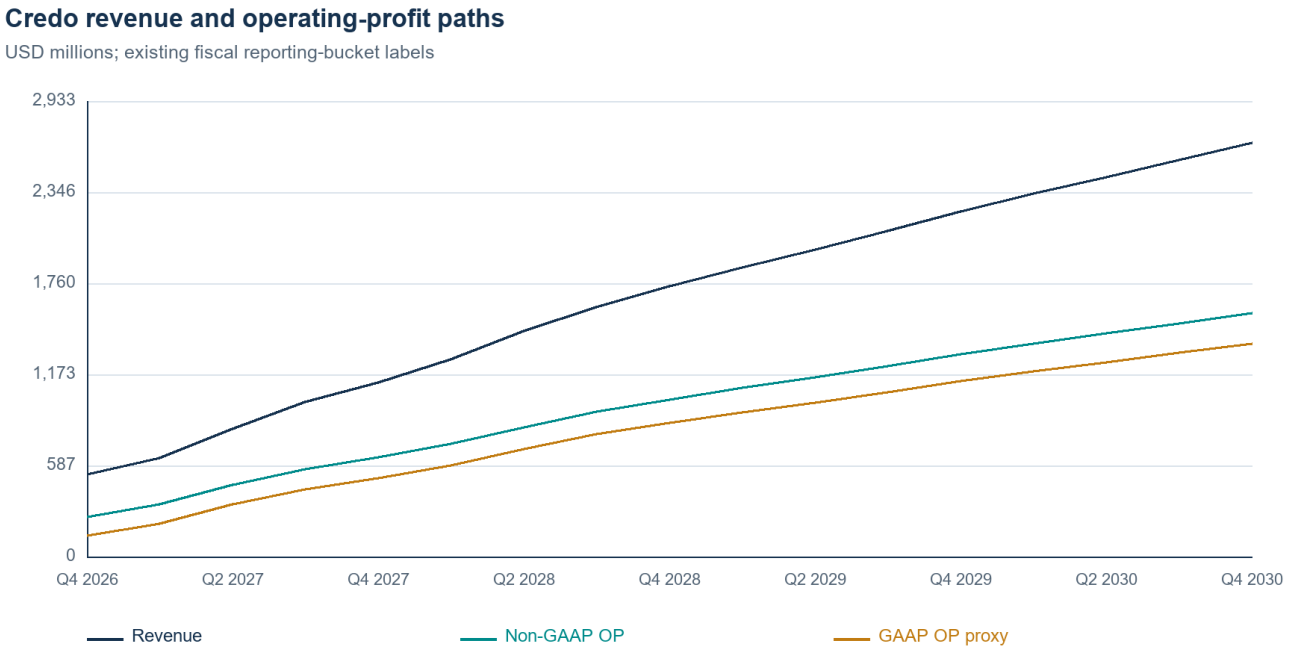
Future equipment life/lag, working-capital intensities, deposit-refund timing, leases, paid tax, SBC/employee share conversion and earnout accounting/calendar remain explicit model assumptions. Product splits and outer-year ramps retain low confidence.

The new linked technical workbook preserves the full original Credo model sheet, original formula/value/type/style vintage and its immutable two-cell portfolio context. Current product, financial, cash and valuation sheets expose all owning controls and outcomes. The actual main portfolio retains one visible Master Portfolio sheet.

Sources: [S1], [S2], [S3], [S4], [S5], [S6], [S7], [S8].

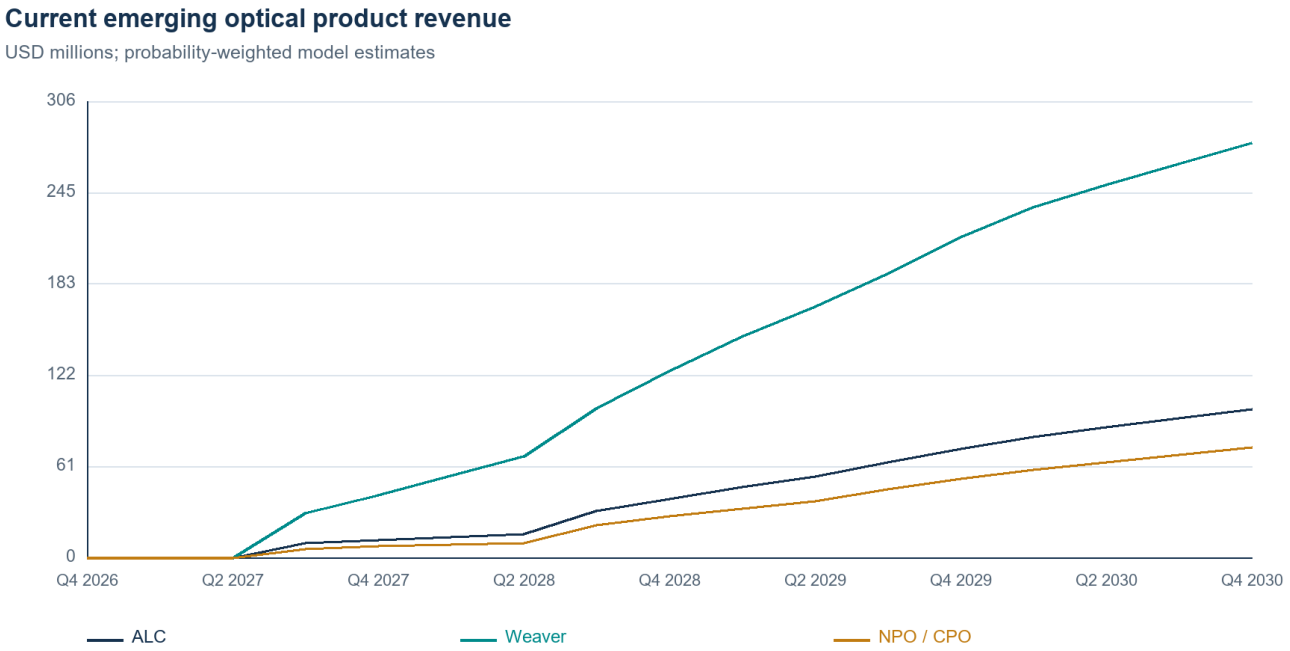
Current model charts

Credo revenue and operating-profit paths



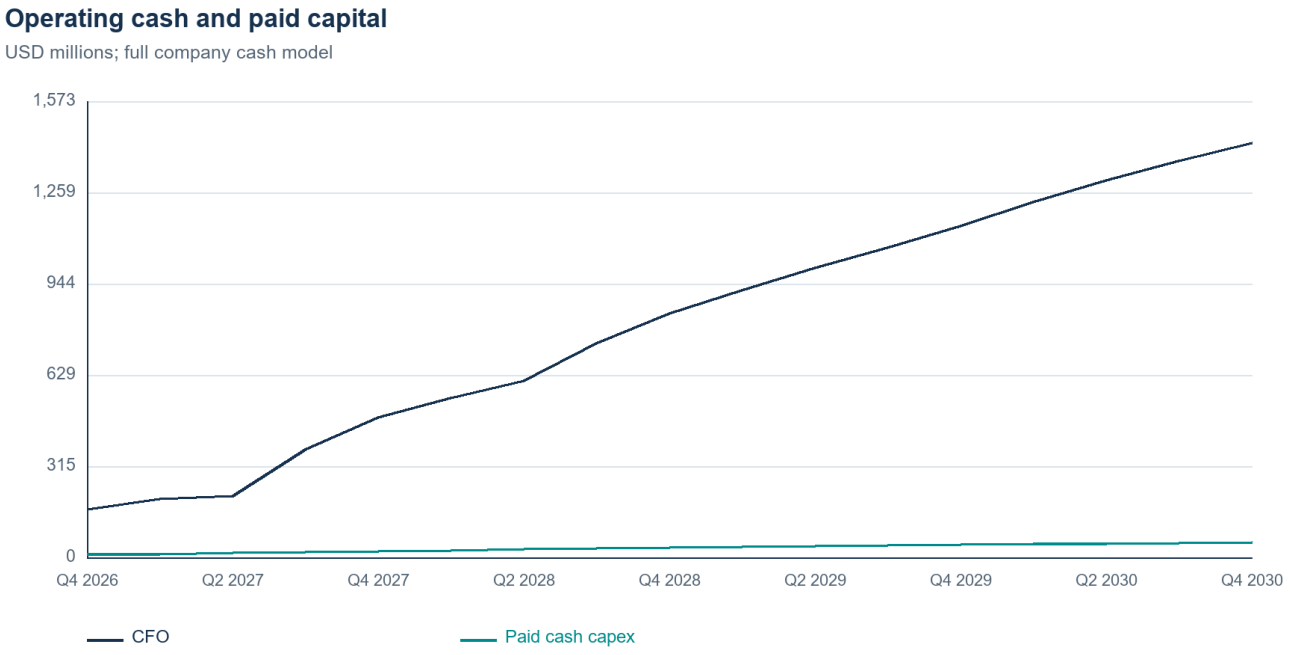
ASTRA model estimate, 6 November 2026. USD millions; existing fiscal reporting-bucket labels.

Current emerging optical product revenue



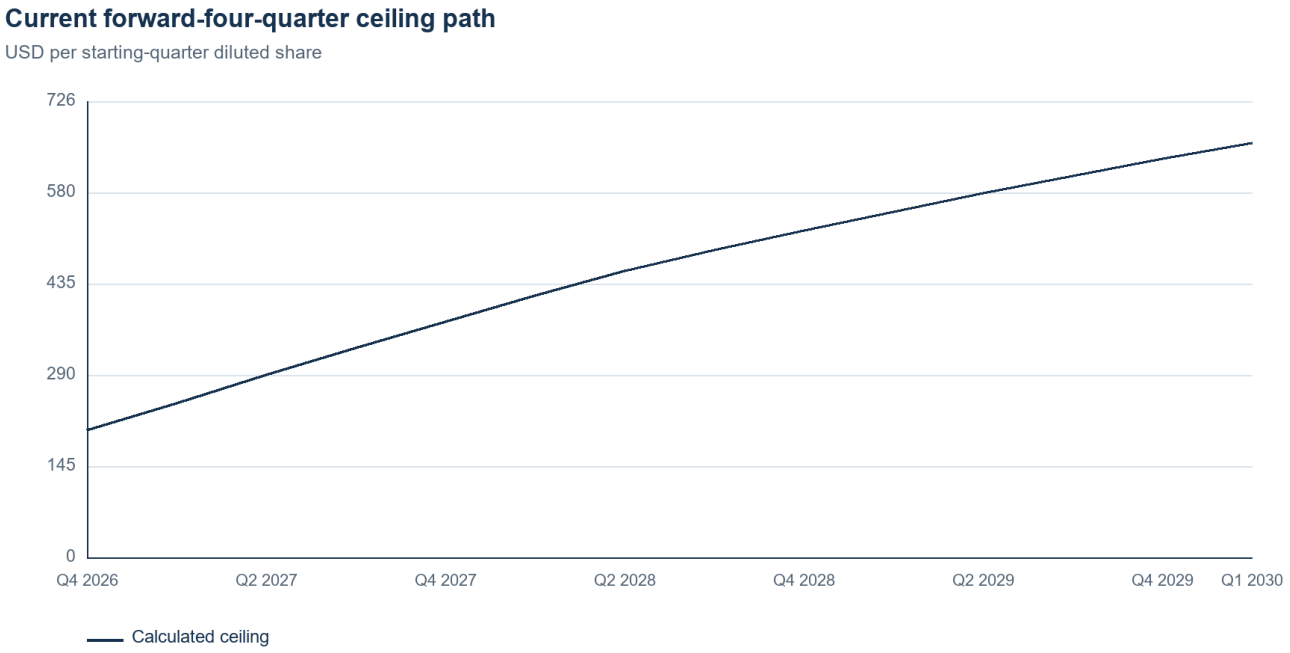
ASTRA model estimate, 6 November 2026. USD millions; probability-weighted model estimates.

Operating cash and paid capital



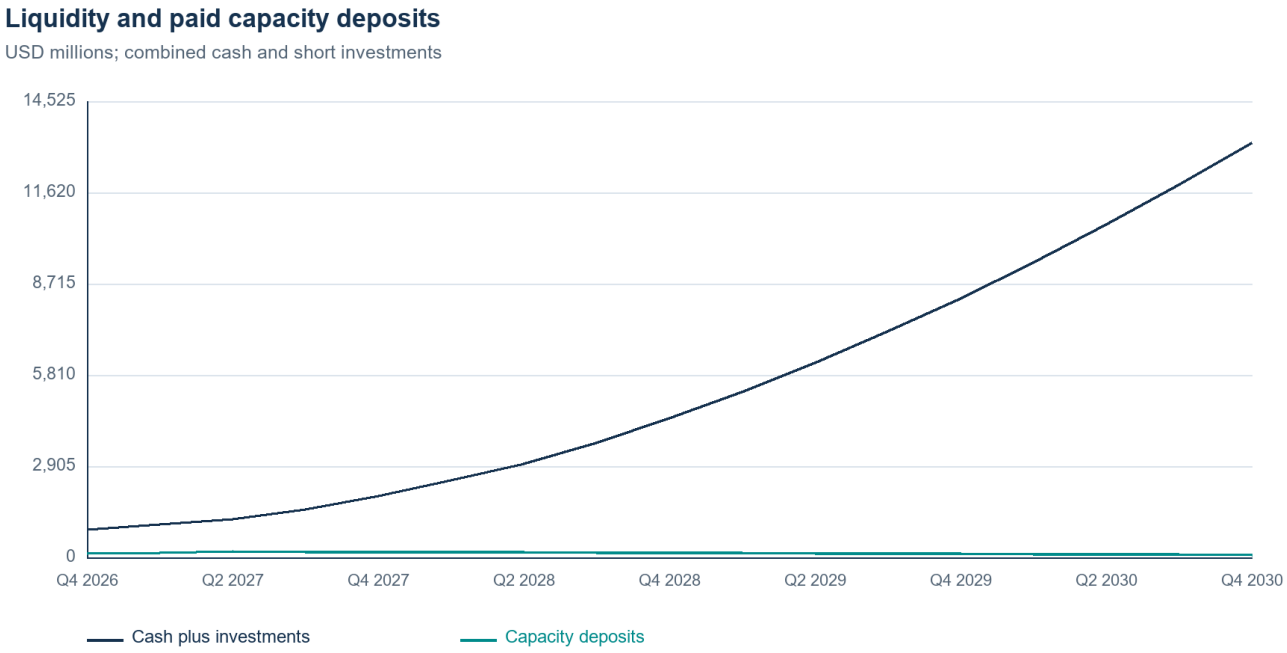
ASTRA model estimate, 6 November 2026. USD millions; full company cash model.

Current forward-four-quarter ceiling path



ASTRA model estimate, 6 November 2026. USD per starting-quarter diluted share.

Liquidity and paid capacity deposits



ASTRA model estimate, 6 November 2026. USD millions; combined cash and short investments.

Source register

[S1] Credo Q1 FY2027 issuer results and Form 10-Q. 1 September 2026; quarter ended 1 August.

https://investors.credosemi.com/news-events/news/news-details/2026/Credo-Technology-Group-Holding-Ltd-Reports-First-Quarter-of-Fiscal-Year-2027-Financial-Results/default.aspx

Original saved 10-Q/current results financial bridge, guide and closed acquisition terms. Recorded financial/legal note scopes retained.

[S2] Latest two management earnings calls. 1 September 2026 and 1 June 2026.

https://stockanalysis.com/stocks/crdo/transcripts/683506-q1-2027/

Returned web prepared remarks/Q&A/closing and prior complete-read lineage reused; local QA extracts preserved. Independent audio verification remains incomplete.

[S3] FY2026 Form 10-K closed Dust acquisition terms. Fiscal year 2026; Note 16.

Source-scoped closed cash/share earnout maxima and accounting values; future milestone calendar unresolved.

[S4] Avicena Deep-Dive, Irrational Analysis. Owner bundle received 6 November 2026; article source date retained in original.

Full 54618-character visible body; 175 referenced assets verified, 22 critical panels visually read; demonstrations, cost/reach and qualification gaps preserved.

[S5] Anonymized Mizuho optical-call takeaways. Printed 15 October 2026.

All 9 pages/5 exhibits; underlying expert call/presentation and original LightCounting dataset absent. Architecture/timing estimates overlap prior converted NPO/CPO path.

[S6] BofA AEC market forecast and prior converted company case. 9 October 2026 source; 11 October model.

6.9 bn 2027/13.2 bn 2028 market estimates, 25% net capture/30% event, full calendar-aligned reference overlap; exact prior canonical/source retained.

[S7] Selected full company financial and valuation model. 6 November 2026.

Exact selected financial/valuation pair; 17 financial quarters, 14 targets, 8 central cash paths and 23 bounded diagnostics; 25x non-GAAP method retained.

[S8] Prior complete Credo artifact and official ALC product evidence. 12 October 2026 evidence update; 11 October operating model.

https://credosemi.com/products/zeroflapalc/

Original 41-page PDF and complete MD/9 embedded images preserved. Official 1.6T ALC specifications and source product image retained with marketing/qualification limits.

Model conventions and verification

The linked technical workbook retains the complete original Credo model and historical formulas. This report preserves the original source images. Its current sheets expose editable product, competition, capital, working-capital, tax, employee-share, earnout and funding controls, all eight central joint cash paths, 16 diagnostic branches and quarterly valuations. The main portfolio has one visible Master Portfolio sheet.

The saved files were recalculated with the bundled ArtifactTool engine. Independent arithmetic and saved-file checks cover the selected company forecasts, cash conditions, historical source content and current targets. Perturbation and restoration checks bind these exact saved workbook bytes. Microsoft Excel Desktop execution remains unverified.

Open the editable technical workbook.

Historical appendix | 12 October 2026

The complete original 41-page report preserves the 12 October evidence update, 11 October operating model, earlier technical assessments, source images and published historical forecasts. Current forecasts appear before this dated section.

CRDO - Credo Technology Group | Full investment artifact

Full investment research | Model assumptions and source evidence

Evidence update: October 12,2026 | Current operating model: October 11,2026 | Framework 8.0.

Active Q4 2027 price target: USD 375.072816, using 25x forward-four-quarter non-GAAP operating profit and 209.5M shares. **Analytical Base: 75; protected Excel Base: 75.** The October 6 engineering assessment is retained. The October 11 AEC case changes only AEC revenue and directly dependent costs and ceilings.

12 October 2026: official ALC specifications, with no repeated launch economics

The active Q4 2027 ceiling remains USD375.0728158649746. All quarterly operating inputs and targets, the 25x forward-four-quarter non-GAAP operating-profit method, target-quarter 209.5M share denominator, and Excel/analytical Bases 75 remain unchanged. This is an evidence-only update; the October 11 AEC revision remains the latest operating change.

Credo's October 12 release describes a 1.6T active light cable aimed at AI scale-out and front-end networks, with shipping planned in 2027. The issuer specifies up to 50m reach, about 12W at each cable end, about 30% less power than a comparable AEC and one-tenth the cable weight. Its 100M-hour MTBF figure is a design target, not an observed field history. The current product page names microVCSELs or microLEDs as potential micro-emitters. These statements do not identify which source or supplier wins a production allocation. [CRDO-9/10]

The wide-parallel architecture divides 200G lanes across multiple lower-rate NRZ optical channels and uses spare channels for failover. Qualification must still establish useful payload, power under load, temperature behavior, aligned-fiber/array yield, redundancy overhead and accepted customer shipments. The 50m target updates the earlier 30m product discussion; greater advertised reach alone does not disclose a larger paid unit cohort.

Probability and overlap. Retain the existing 60% ALC commercialization-confidence label; it describes an already converted revenue path and is not multiplied into that path again. The model already starts ALC in FY2028, beginning with the reporting bucket aroundAugust 2027. Its 10/12/14/16M quarterly sales sum to 52M in that fiscal year:130,000 assumed cables at$400,65% GP and 18.2M product COGS. The broad 2027 shipping plan fits this existing launch period, without identifying an earlier quarter or larger order. The launch/timing claim is 100% overlapped by that existing programme.

Bounded proxy attempt. The existing FY2028 programme corresponds to 0-130,000 accepted cables in a full-delay-to-existing-path exposure diagnostic, or 0-52M sales and 0-33.8M product GP before retained R&D/support. This is a diagnostic of the current modeled programme, not a cap on the whole addressable market. For an incremental 1,000 external cables, the existing$400 ASP/65% GP proxy would mean$0.4M sales,$0.14M production costs and$0.26M GP before incremental opex. However, the release gives no additional accepted quantity, contract ASP, yield or earlier recognition quarter. Extra 20-50m reach must be bridged to customer topology, net new sockets and invoices, with displacement of current AEC or optical sales deducted. Those inputs remain unknown. This bounded attempt therefore supports zero incremental sales, COGS, opex and OP from this launch evidence; it does not wait for official confirmation of credible forward evidence.

No independent price premium, extra margin or CPO/NPO invoice is added. The active AEC market branch still carries 30% probability,25% assumed net capture and 70% incremental GM less 15% opex; external NPO/CPO retains its existing 70% confidence label and separate 33M FY2028 path. LITE and COHR technology references are not named Credo supplier awards. Revisit paid design-ins, accepted quantities and dates, full-link measurements, invoice boundaries, unit costs and substitution before changing any operating input.

Item	Issuer statement / existing assumption	Model disposition
Reach / speed	Up to 50m;1.6T aggregate	Issuer target; no extra accepted unit count
Power	About 12W per end; roughly 24W for two ends by arithmetic	Link conditions and host overhead remain unverified
Weight	About 10x lighter than comparable AEC	Relative issuer claim, not a qualified cost saving
Reliability	100M hours MTBF target	No equivalent observed fleet record claimed
Shipping	Calendar 2027 planned	Fits existing FY28 launch; exact acceptance quarter unknown
FY28 ALC	52M sales at assumed$400;65% GP	Existing forecast retained; launch contribution not added twice
New additive outcome	0 sales / COGS / opex / OP	100% launch overlap; missing quantity/price/cost/recognition bridge



Credo original published ALC product image. Credit: Credo. The image shows the cable product; it is not a measurement of reach, power, MTBF, manufacturing yield or customer acceptance. Original published1024x876asset retained without resampling.

11 October 2026 historical operating update: AEC market growth, with explicit capture and costs

The active Q4 2027 ceiling rises from **USD361.864962 to USD375.072816**, **+3.65%**, on the same 25x forward-four-quarter non-GAAP operating-profit method and 209.5M shares. Analytical Base 75 and Excel Base 75 are unchanged. This is an operating-input revision, not a multiple re-rating or horizon roll.

BofA's October 9 forecast sizes the global AEC market at USD6.9bn in 2027 and 13.2bn in 2028. Credo sells finished AEC products, but the bank's channel markup and invoice boundaries are not specified. The model assumes **25% net sales capture**, with a 15-35% range, and gives this market-and-capture case a **30% probability** (20-40% sensitivity range). Capture is a net-revenue proxy, not an asserted physical market share.

The existing AEC model is subtracted in full before weighting. Uniform-month alignment gives **USD1,692.859527M in CY2027** and **USD2,129.915446M in CY2028**. This avoids treating fiscal quarter labels as calendar revenue. The month allocation is an assumption because actual monthly product sales are not disclosed.

Calendar period	Bank AEC TAM USD M	Conditional Credo net sales at 25%	Existing AEC USD M	Residual before 30%	Weighted annual revenue delta
2027	6,900.000	1,725.000	1,692.860	32.140	9.642
2028	13,200.000	3,300.000	2,129.915	1,170.085	351.025

Recognition and overlap. Preserve the FY2027 directional sales calibration through the quarter ending around April 2027; allocate the small 2027 residual across May-December. Allocate 2028 using the reference AEC monthly sales weights. Hold 2028 incremental annual dollars flat for 2029-30 rather than monetizing every additional dollar of the outer-year TAM. All eight original product vectors remain separate; no extra embedded DSP/retimer invoice or second optical growth premium is added.

Costs. Retain 70% AEC gross margin on incremental sales, covering ordinary silicon, contract manufacturing, assembly/test and production depreciation. Add 15% of incremental revenue for cash operating costs, qualification and support, leaving 55% incremental non-GAAP OP. The inherited non-GAAP SBC exclusion, share allowance and 25x multiple remain unchanged. Customer allocation, supplier capacity, pricing and cash conversion remain important execution risks; a bank TAM does not fund inventories or establish accepted orders.

Bounds and counter-evidence. A 15% net-capture case produces no positive 2027-28 residual over the existing forecast. At 35%, the upside is larger but requires stronger allocations and qualified output. Competitor gains, copper-to-optical substitution, mix and channel markup can reduce realized capture. Revisit after product-level growth, new customer qualification and manufacturing throughput evidence. These are explicit assumptions, not management guidance.

Growth or re-rate? Using the workbook's frozen USD 249.89 quote (not a live quote), first displayed Q4 2026 target USD203.232848 and Q4 2027 USD375.072816, the owner's sequential-percentage heuristic classifies this as **100% Growth**. The nearer target is below that reference quote, so the rule assigns 0% Re-Rate. This is not an additive return decomposition or measured P/E expansion; refresh with the live price and selected website multiplier before publishing.

BofA GLOBAL RESEARCH

AI 2030E TAM Outlook ~$2.2Tn

Of the overall global IT spend of ~$6.4Tn today, we believe **data center systems** to represent $839bn across both AI and non-AI. By CY30E, we expect TAM to grow toward ~$2.6Tn, growing at +32% CAGR CY26-30E and outpacing overall IT spend's +11% CAGR.

AI Data Center Systems: ~$2.2Tn by CY30E

For **AI data center systems** specifically, we now see TAM growing to ~$1.8Tn by CY30E from $564bn in CY26E, with AI servers representing ~75-80% of TAM at $1.4Tn, followed by networking at ~15-20% of TAM at $310bn, and storage at ~5% of TAM at $85bn.

- Within AI servers, we expect **AI accelerators** to represent ~$1.5Tn TAM by CY30E from just $199bn in CY25 and $382bn in CY26E, or the vast majority of server spend.
- We forecast overall **server CPU** to grow to $210bn in CY30E from ~$61bn in CY26E (+36% CAGR), while AI CPUs specifically could grow to ~$180bn in CY30E from $42bn in CY26E (+44% CAGR).
- **AI connectivity** is expected to grow at a +41% CAGR to $163bn in CY30E from $41bn in CY26E, driven by **copper connectivity** growing at +52% to $28bn and **optical connectivity** growing at +33% to $111bn.

For **non-AI data center systems**, we see TAM growth of a modest +7% CAGR.

Exhibit 12: We forecast AI Data Center Systems TAM to reach ~$2.2Tn by CY30E, +40% CAGR, with AI accelerators representing ~$1.5Tn within that Data Center Systems TAM Breakout – AI vs. non-AI

TAM ($bn)	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	CAGR '26-'30
Overall IT Spend (1)	$4,594.2	$4,693.0	$5,037.6	$5,580.0	$6,391.1	$7,351.9	$8,173.4	$8,974.6	$9,761.2	11%
Data Center Systems TAM ($bn) (2)	$227.1	$237.5	$333.5	$505.5	$839.4	$1,327.3	$1,814.7	$2,231.1	$2,561.7	32%
YoY (%)		5%	40%	52%	66%	58%	37%	23%	15%	
Memory	$57.2	$30.2	$70.3	$110.0	$494.3	$766.0	$885.0	$1,090.6	$1,308.7	28%
DRAM (incl. HBM)	$37.5	$19.2	$45.5	$82.3	$362.1	$579.5	$681.7	$838.5	$1,006.3	29%

BofA Global Research, 9 October 2026, page10. AEC row is a market forecast; prose/table scope inconsistencies elsewhere on this page are not used as company revenue. Original exhibit, panel 1 of 2; read from top to bottom.

NAND	$19.7	$11.0	$24.8	$27.7	$132.3	$186.5	$203.2	$252.0	$302.4	23%
Memory % of DC (2)	*25%*	*13%*	*21%*	*22%*	*59%*	*58%*	*49%*	*49%*	*51%*	
AI Data Center Systems TAM ($bn)	$22.8	$61.7	$160.9	$278.3	$569.2	$1,026.1	$1,495.6	$1,889.6	$2,206.0	40%
YoY (%)		171%	161%	73%	105%	80%	46%	26%	17%	
AI % of Overall IT Spend (1)	0.5%	1.3%	3.2%	5.0%	8.9%	14.0%	18.3%	21.1%	22.6%	
AI % of Data Center Systems TAM (2)	10.0%	26.0%	48.3%	55.0%	67.8%	77.3%	82.4%	84.7%	86.1%	
AI Servers	$16.1	$48.9	$131.6	$228.2	$445.2	$805.5	$1,172.3	$1,470.2	$1,706.6	40%
AI CPUs (headnode + agentic) (excl-trad)	$1.0	$1.5	$5.1	$18.5	$42.4	$83.2	$114.4	$144.0	$180.4	44%
AI Accelerators	$14.3	$45.0	$120.2	$198.8	$382.4	$686.9	$1,008.5	$1,266.9	$1,460.5	40%
HBM	$1.6	$4.2	$17.4	$34.5	$77.4	$152.8	$198.9	$229.8	$276.9	38%
HBM (% of Accelerators)	*11%*	*9%*	*14%*	*17%*	*20%*	*22%*	*20%*	*18%*	*19%*	
Other (DDR/SSD/motherboard/power/etc.)	$0.8	$2.3	$6.3	$10.9	$20.4	$35.4	$49.4	$59.3	$65.6	34%
AI Networking	$5.6	$9.6	$21.2	$34.6	$95.6	$171.7	$252.1	$329.4	$394.3	43%
AI Switching (Back/Front-End) (incl. OCS)	$2.2	$3.8	$8.4	$12.5	$31.0	$60.1	$86.7	$128.3	$159.6	51%
AI SmartNIC	$0.9	$2.0	$3.3	$4.8	$23.7	$45.3	$71.9	$84.9	$96.2	42%
AI Connectivity/Other Networking	$2.5	$3.8	$9.5	$17.3	$41.2	$67.9	$98.9	$132.0	$163.3	41%
Optical	$1.9	$3.4	$8.6	$15.2	$35.8	$56.0	$75.2	$93.8	$111.1	33%
CPO	*$0.0*	*$0.0*	*$0.0*	*$0.0*	*$0.2*	*$0.9*	*$3.2*	*$9.4*	*$14.1*	*206%*
NPO	*$0.0*	*$0.0*	*$0.0*	*$0.0*	*$0.1*	*$0.6*	*$2.2*	*$6.4*	*$10.7*	*204%*
Electrical/Copper	$0.6	$0.4	$0.9	$2.1	$5.2	$10.3	$18.3	$22.4	$27.5	52%
DAC	*$0.5*	*$0.4*	*$0.6*	*$0.8*	*$1.3*	*$2.0*	*$2.6*	*$2.9*	*$3.2*	*25%*
ACC	*$0.0*	*$0.0*	*$0.0*	*$0.0*	*$0.4*	*$1.4*	*$2.5*	*$3.8*	*$7.4*	*110%*
AEC	*$0.1*	*$0.1*	*$0.2*	*$1.2*	*$3.5*	*$6.9*	*$13.2*	*$15.8*	*$16.9*	*49%*
AI Storage	$1.1	$3.2	$8.2	$15.5	$28.4	$48.9	$71.2	$90.0	$105.0	39%
Non-AI Data Center TAM ($bn)	$204.3	$175.8	$172.6	$227.3	$270.2	$301.2	$319.1	$341.6	$355.7	7%
YoY (%)		-14%	-2%	32%	19%	11%	6%	7%	4%	

Source: BofA Global Research estimates, Gartner, Mercury Research, IDC, LightCounting, 650 Group

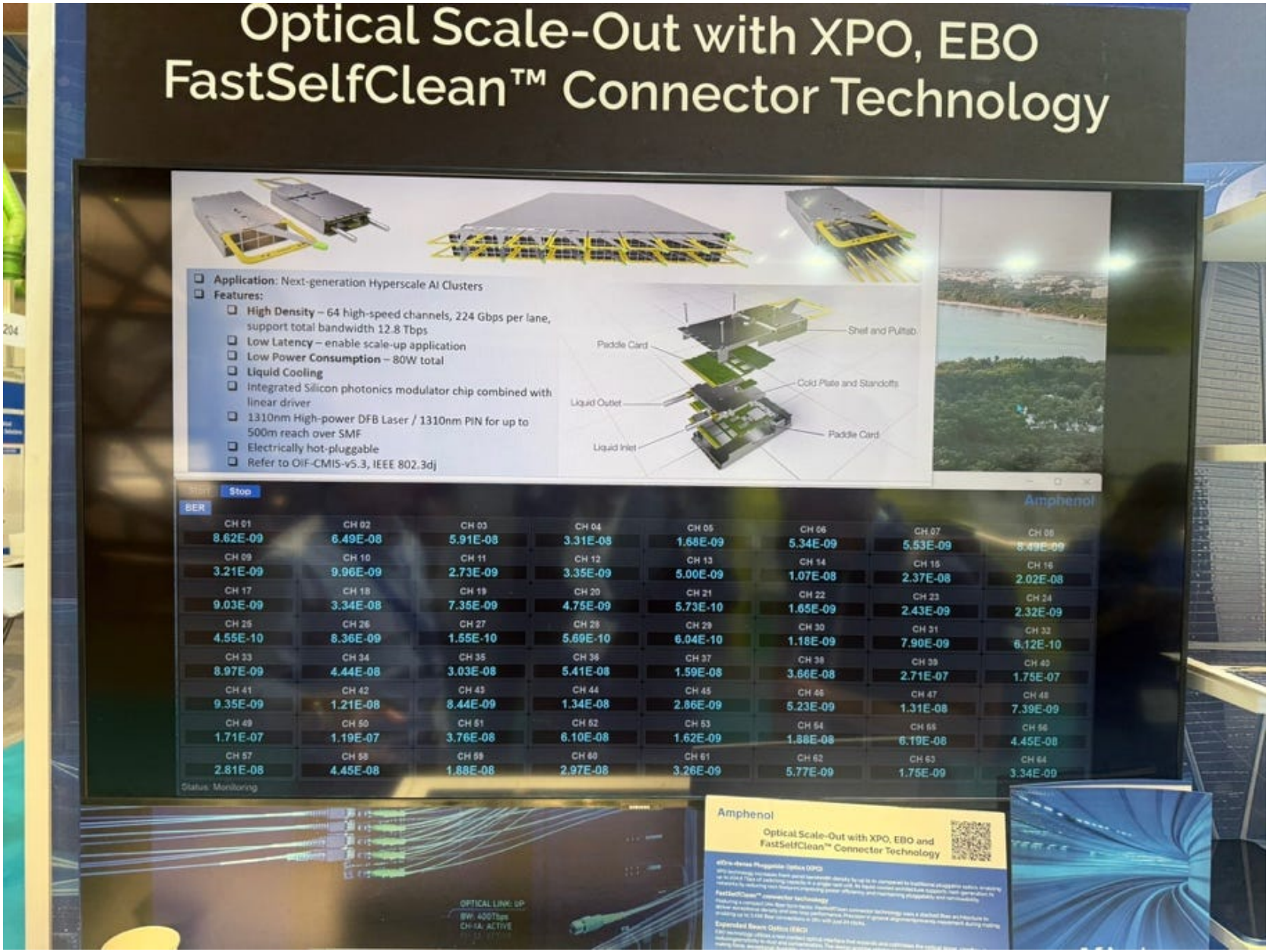
BofA GLOBAL RESEARCH

BofA Global Research, 9 October 2026, page10. AEC row is a market forecast; prose/table scope inconsistencies elsewhere on this page are not used as company revenue. Original exhibit, panel 2 of 2; read from top to bottom.

October 6 research assessment: optical engineering, no numerical increment

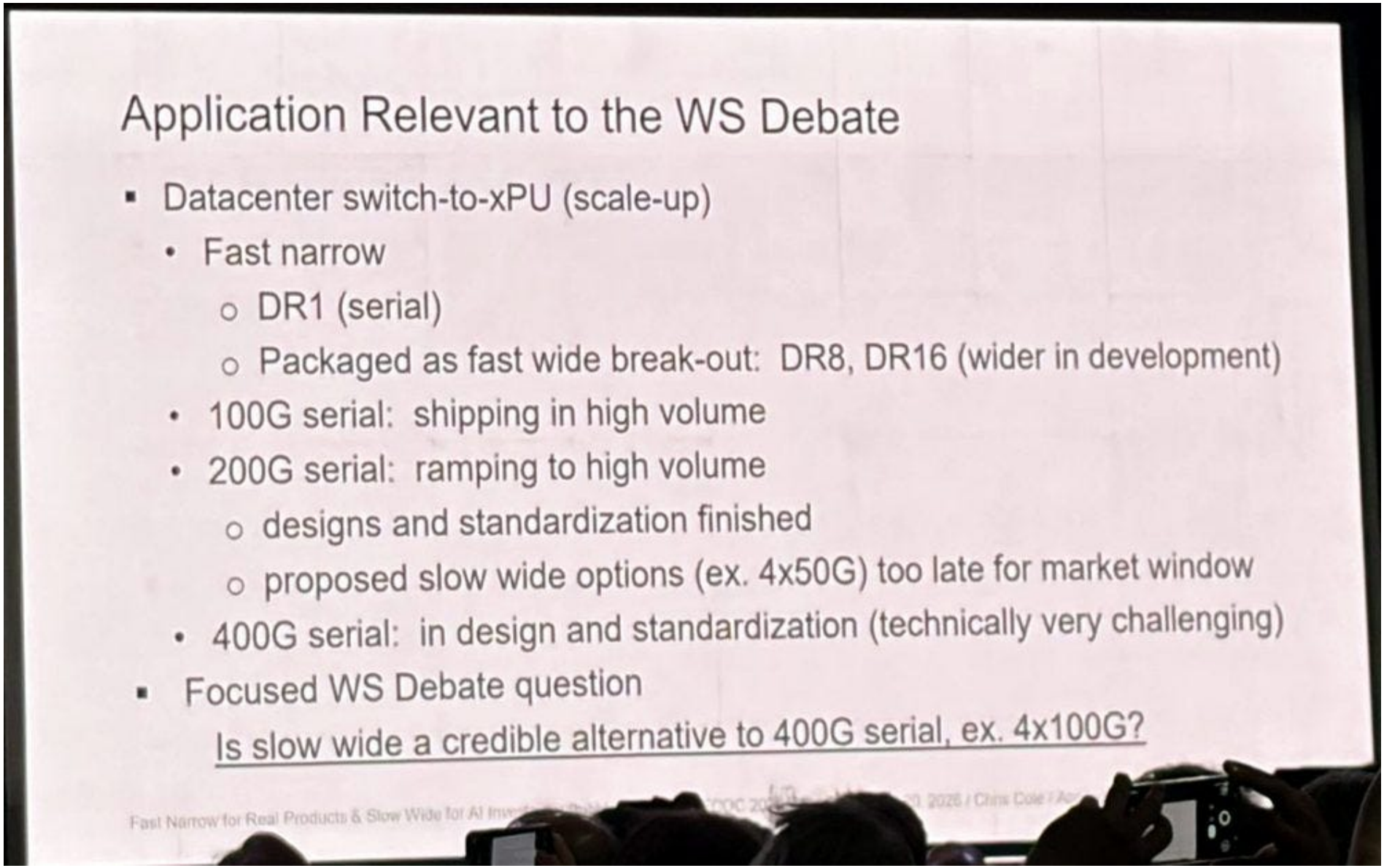
ALC/NPO are already in the model; commercial evidence is the next gate

The current artifact already contains FY2028 ALC revenue of approximately $52M and NPO revenue of $33M. The public ECOC excerpt adds architecture and timing evidence rather than a new order value. It ends at the opening Credo paragraph; no conclusion is inferred from the unavailable paid remainder.



Public ECOC figure 4: XPO bandwidth/implementation demonstration. Raw lane capacity and net payload are different measures; a demo is not commercial reliability validation.

A 64 × 224G raw-lane calculation is 14.336Tbps; that is not additive to a 12.8Tbps net module figure. Do not manufacture TAM from coding/overhead differences. Cable products with possible H2 2027 introduction, 2028/29 NPO and later package links have distinct launch/qualification curves.



Public ECOC figure 6: an alternative high-speed serial viewpoint. Architecture counter-evidence belongs beside the adoption thesis, not outside the model discussion.

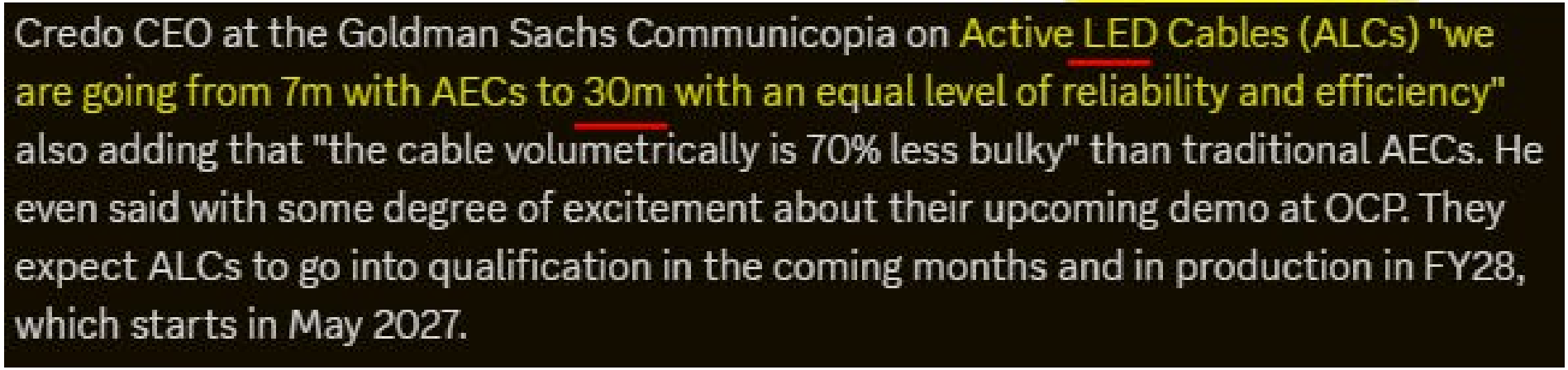
FUNDA public excerpt; Credo's April 30 microLED discussion describes a 10-30m target and coexistence of pluggable, NPO and CPO form factors. Power figures measured at emitters cannot be directly compared with full end-to-end links. The TrendForce $848M 2030 microLED CPO subset is neither all of Credo's ALC opportunity nor all optical interconnects.

Analytical Base: 75 → 75; protected Excel Base: 75 → 75. Keep the 25x OP company method. Existing ALC/NPO dollars already price adoption; the October 6 engineering batch supplies no incremental customer commitment, yield, ASP or production schedule to raise them. A new category point would over-credit feasibility evidence before commercial conversion.

Upgrade gates: paid customer design-in, device/engine/cable revenue ownership, samples to qualified shipment conversion, measured link reliability, connector/fiber costs and incremental gross margin. Check for substitution of existing AEC revenue before treating ALC as entirely additive. Preserve the existing ramp until those parameters support a specific change.

Engineering: the 30-metre microLED claim needs the right comparison

The September 14 Irrational Analysis memo argues that dispersion makes Credo's proposed 30m microLED reach implausible. It identifies a real design constraint, but its generic dispersion illustrations do not establish Credo's link limit. Credo's disclosed architecture divides bandwidth across many relatively slow NRZ optical channels and a fiber bundle. It is therefore inappropriate to assume each emitter must carry the entire aggregate cable rate, or to transfer the limits of a 200G serial optical lane directly to a microLED channel. [E-CRDO1, E-CRDO2]



Engineering exhibit sept14-l09. Saved source: (Market Memo) Qualcomm/Amazon, Apple C2 Modem, Credo uLED 30M Claim, Cerebras I/O Conspiracy Theory, 2026-09-14. Attribution and scope are discussed below.

Management's 30m/qualification discussion as reproduced in the September 14 article. This is a product and timing claim, not an independently measured field-reliability result.

Chromatic dispersion spreads a pulse because different wavelengths propagate at different speeds; modal dispersion can spread it because different guided paths have different delays. In a simplified linear approximation, chromatic pulse broadening scales with dispersion coefficient, spectral width and distance. The tolerable broadening depends on each channel's symbol period and receiver budget. Thus wavelength, emitter linewidth, fiber design, coupling, per-channel rate, temperature,

error rate and redundancy all matter. None of those unknowns can be replaced with an assertion that 30m is universally impossible. Equally, an issuer's product page cannot by itself establish production yield, full-temperature performance or multi-year field reliability.

Question	Necessary engineering evidence	Model consequence
Can the link achieve its claimed reach?	Full-rate test at stated distance, fiber, temperature, power and error criterion	Timing/capture of the exposed ALC product, not all Credo revenue
Can failed channels be tolerated?	Demonstrated failover, spare-channel budget and behavior under correlated failure	Real usable bandwidth and system reliability, including redundancy cost
Can it be manufactured economically?	Emitter/receiver array yield, assembly/test throughput and finished-cable cost	Accepted unit output, COGS, rework and warranty expense
Does the customer need that reach?	Qualified topology and cable-length mix	Eligible share of demand; shorter links may remain viable even if 30m is late

Probability, amount and overlap. The active ledger already gives ALC **60% commercialization confidence** and external NPO/CPO **70%**. It includes **$52M ALC sales in FY2028**, equivalent to an assumed 130,000 cables at $400, and **$33M external NPO/CPO sales**, equivalent to 33,000 $1,000 units. Their 65% gross-margin assumption implies $18.2M and $11.55M of product COGS respectively, before the explicit consolidated opex schedule. These unit/price/margin amounts are model assumptions, not disclosed orders. The confidence percentages describe the inherited converted paths; they must not be multiplied into them a second time.

The engineering critique adds an explicit validation checklist but no product-specific measurement that changes the existing launch or conversion estimate. The article's categorical failure inference is therefore not adopted as a new adverse outcome. Incremental revenue, COGS, opex and OP are zero, with the existing emerging-product timing risk retained once. This zero follows the claim's missing architecture parameters and overlap with an already recognized qualification risk; it does not require waiting for official confirmation when credible measured or customer evidence becomes available.

For scale, losing every modeled ALC sale in FY2028 would expose at most the existing $52M sales and $33.8M product gross profit before retained R&D, rework and other costs. That is a diagnostic exposure bound, not an additional probability-weighted deduction or a change to the saved forecast. A two-quarter slip must be handled as a dated shipment shift, with realistic cost persistence and any permanently lost demand distinguished from later revenue. A claim about 30m ALC does not establish failure of ZeroFlap modules, optical DSPs, PICs or shorter-reach AECs.

The broader article's Cerebras discussion is not a new Credo design win. A generic AXI interface, an assumed off-wafer I/O clock and a quoted total bandwidth do not identify a supplier invoice. The same is true of Qualcomm's announced Amazon collaboration: competitive relevance requires a matched product, customer socket, pricing and recognition period before changing Credo capture. No entire competing optical TAM is subtracted.

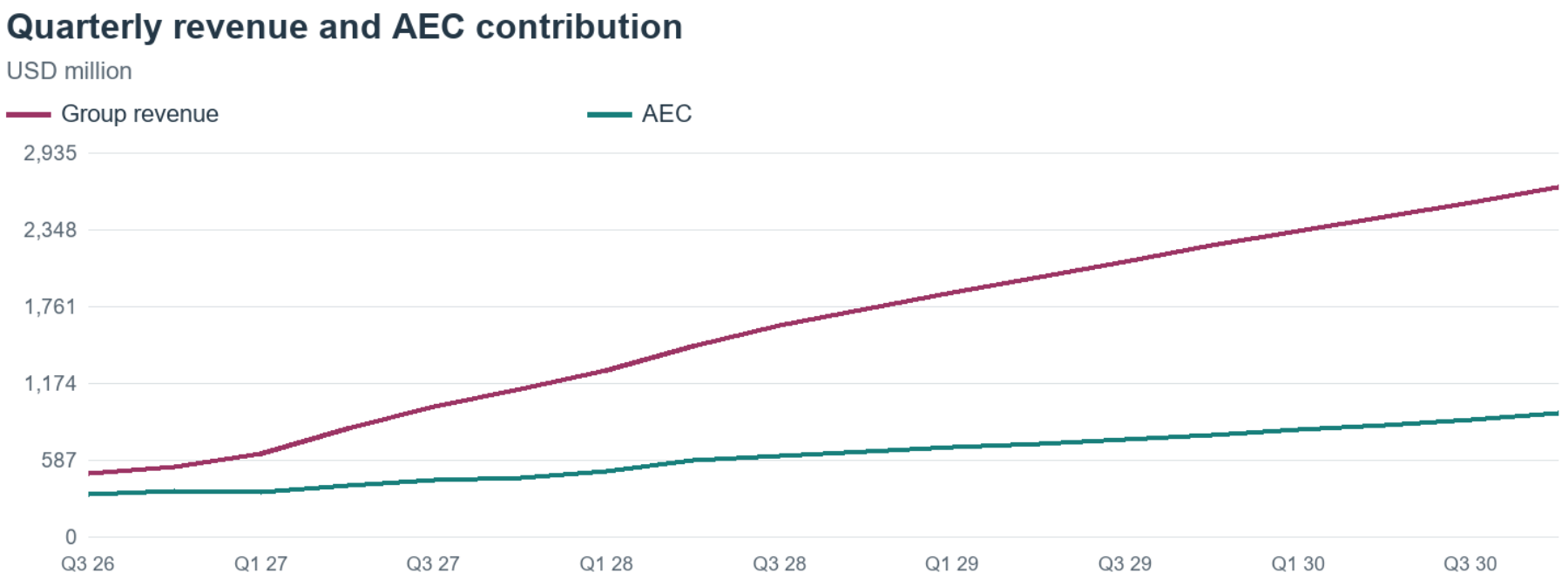
The separate October 11 AEC update brings the active **Q4 2027 price target to $375.072816**, using the sanctioned **25x forward non-GAAP operating profit**, 209.5M shares and the same quarter convention. Analytical and Excel Base remain 75. The next useful catalyst is a detailed customer qualification or link demonstration with the operating conditions above, followed by accepted production units and costs.

Engineering sources, reviewed October 6, 2026: E-CRDO1: Irrational Analysis, September 14, full body and all 20 image elements reviewed. E-CRDO2: Credo architecture explanation, April 22. E-CRDO3: Credo form-factor discussion, April 30. Management marketing and independent author criticism are labeled separately; neither is treated as measured high-volume customer reliability.

Visual model dashboard - active core

All forward values are model assumptions. Chart tables use the unrounded active model. Quarter labels identify fiscal reporting buckets: Q3 2026 is FQ1 FY2027, Q4 is FQ2, Q1 2027 is FQ3 and Q2 is FQ4. They do not represent literal calendar-month results. The active valuation horizon is Q4 2027; older Q3 2027 diagnostic charts below retain their labeled comparison period and do not change the active target. “Source scenario” is an optional, unweighted sensitivity for review, not an adopted case.

Revenue and AEC contribution

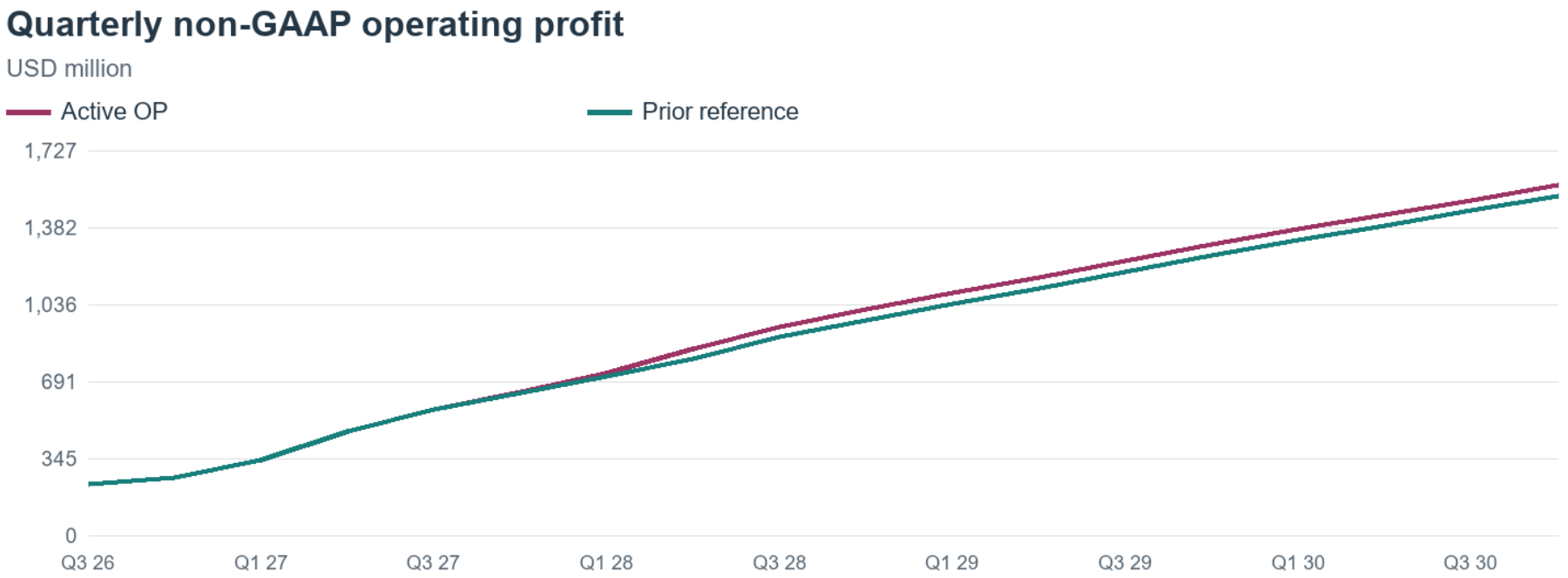


Quarterly revenue and AEC contribution | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Consolidated revenue USD M	Active AEC revenue USD M
Q3 2026	479.003	325.003
Q4 2026	530.000	350.000
Q1 2027	636.000	339.200

Reporting-quarter label	Consolidated revenue USD M	Active AEC revenue USD M
Q2 2027	826.800	390.995
Q3 2027	996.447	428.447
Q4 2027	1,125.039	452.039
Q1 2028	1,270.641	501.641
Q2 2028	1,455.407	581.407
Q3 2028	1,610.422	613.422
Q4 2028	1,741.200	647.200
Q1 2029	1,864.885	679.885
Q2 2029	1,980.260	706.260
Q3 2029	2,101.318	740.318
Q4 2029	2,225.251	776.251
Q1 2030	2,339.162	814.162
Q2 2030	2,447.162	854.162
Q3 2030	2,556.364	896.364
Q4 2030	2,667.889	940.889

Operating profit path

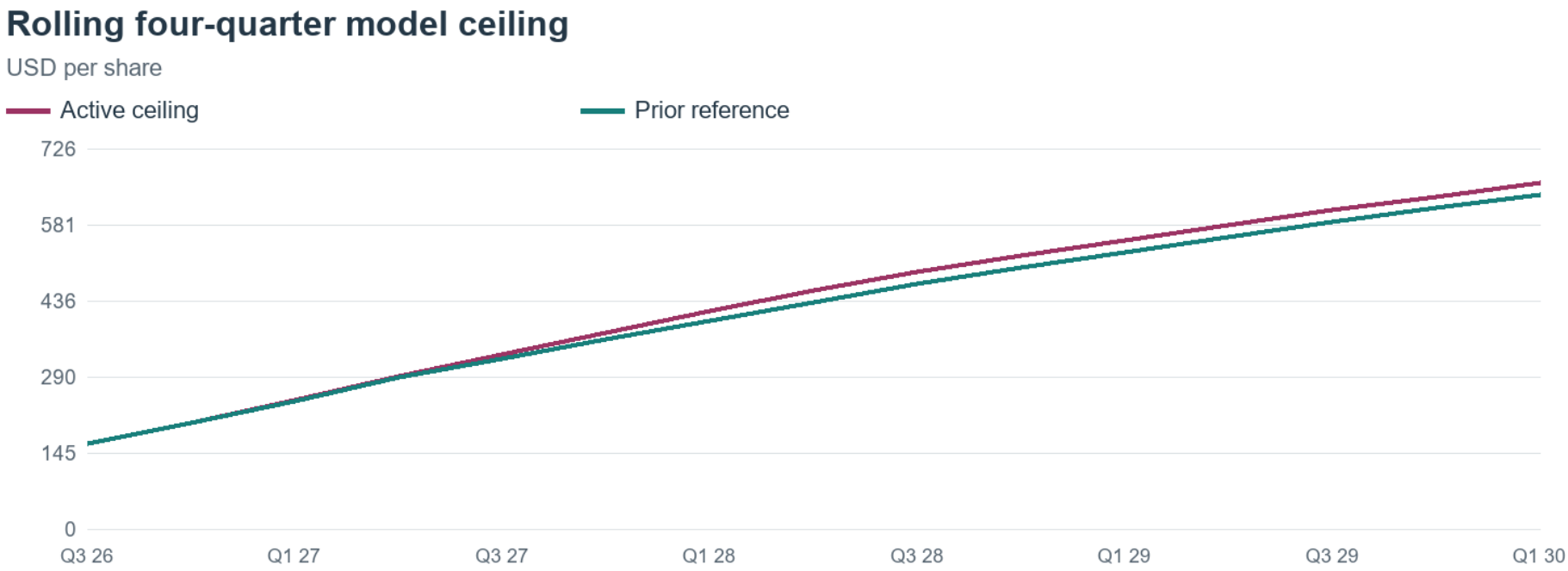


Quarterly non-GAAP operating profit | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Core operating profit	OP margin %
Q3 2026	230.641	48.15%
Q4 2026	257.900	48.66%
Q1 2027	337.133	53.01%
Q2 2027	465.434	56.29%
Q3 2027	565.396	56.74%
Q4 2027	642.502	57.11%
Q1 2028	728.333	57.32%
Q2 2028	836.134	57.45%

Reporting-quarter label	Core operating profit	OP margin %
Q3 2028	936.142	58.13%
Q4 2028	1,014.910	58.29%
Q1 2029	1,088.577	58.37%
Q2 2029	1,157.203	58.44%
Q3 2029	1,230.055	58.54%
Q4 2029	1,305.738	58.68%
Q1 2030	1,374.779	58.77%
Q2 2030	1,439.159	58.81%
Q3 2030	1,503.960	58.83%
Q4 2030	1,570.039	58.85%

Rolling four-quarter price target



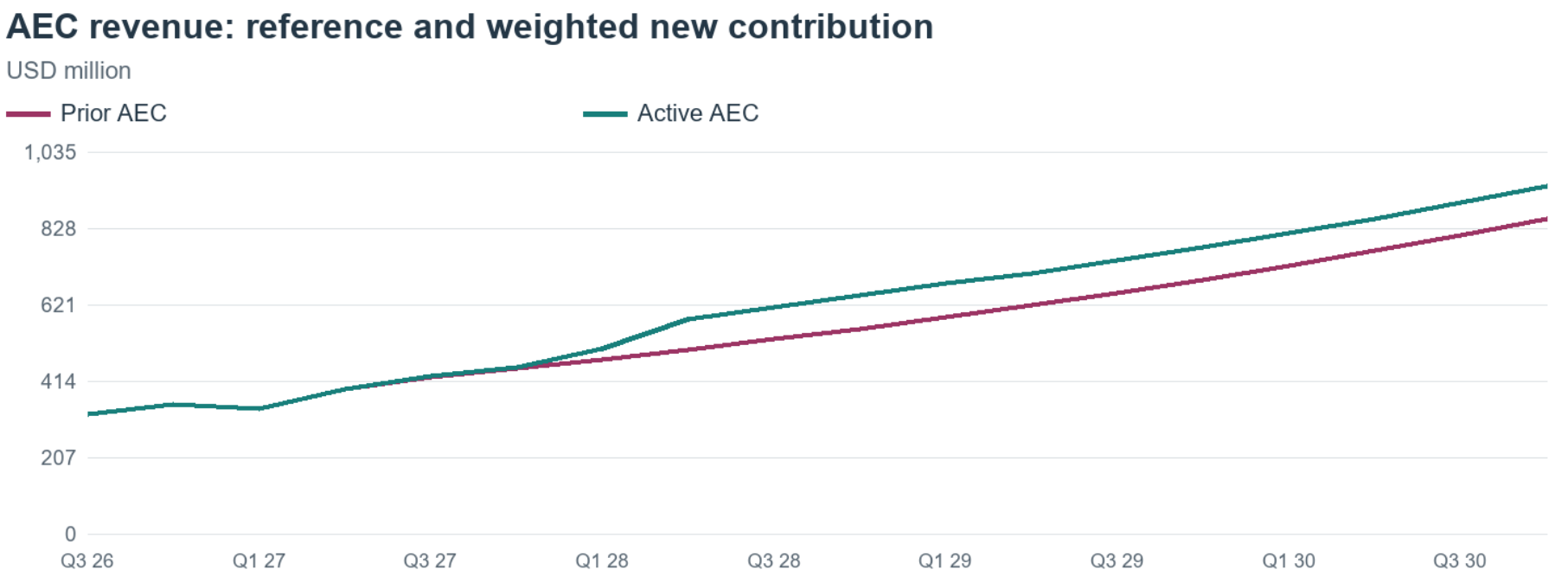
Rolling four-quarter model ceiling | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Core price target
Q3 2026	163.427
Q4 2026	203.233
Q1 2027	245.179
Q2 2027	290.758
Q3 2027	333.217
Q4 2027	375.073
Q1 2028	416.531
Q2 2028	455.972

Reporting-quarter label	Core price target
Q3 2028	490.284
Q4 2028	520.968
Q1 2029	550.872
Q2 2029	579.837
Q3 2029	607.924
Q4 2029	634.722
Q1 2030	660.083

All displayed active windows have positive modeled operating profit. Historical source scenarios are separate diagnostics and are not combined with the active October 11 AEC case.

AEC revenue: reference and weighted contribution



AEC revenue: reference and weighted new contribution | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Reference AEC USD M	Weighted increment USD M	Active AEC USD M
Q3 2026	325.003	0.000	325.003
Q4 2026	350.000	0.000	350.000
Q1 2027	339.200	0.000	339.200
Q2 2027	390.995	0.000	390.995
Q3 2027	425.000	3.447	428.447
Q4 2027	448.402	3.637	452.039
Q1 2028	473.094	28.548	501.641
Q2 2028	499.144	82.263	581.407

Reporting-quarter label	Reference AEC USD M	Weighted increment USD M	Active AEC USD M
Q3 2028	526.629	86.792	613.422
Q4 2028	555.628	91.572	647.200
Q1 2029	586.224	93.661	679.885
Q2 2029	618.504	87.756	706.260
Q3 2029	652.561	87.756	740.318
Q4 2029	688.494	87.756	776.251
Q1 2030	726.406	87.756	814.162
Q2 2030	766.405	87.756	854.162
Q3 2030	808.607	87.756	896.364
Q4 2030	853.133	87.756	940.889

Complete price target reconciliation

price target quarter	Exact OP window	Forward 4Q economic OP	Multiple	Shares M	Unit/FX factor	Core price target
Q3 2026	Q3 2026 to Q2 2027	1,291.107879	25x	197.505000	1.00	163.427240
Q4 2026	Q4 2026 to Q3 2027	1,625.862786	25x	200.000000	1.00	203.232848
Q1 2027	Q1 2027 to Q4 2027	2,010.464443	25x	205.000000	1.00	245.178591
Q2 2027	Q2 2027 to Q1 2028	2,401.664430	25x	206.500000	1.00	290.758406
Q3 2027	Q3 2027 to Q2 2028	2,772.364118	25x	208.000000	1.00	333.216841
Q4 2027	Q4 2027 to Q3 2028	3,143.110197	25x	209.500000	1.00	375.072816
Q1 2028	Q1 2028 to Q4 2028	3,515.518334	25x	211.000000	1.00	416.530608
Q2 2028	Q2 2028 to Q1 2029	3,875.762253	25x	212.500000	1.00	455.972030
Q3 2028	Q3 2028 to Q2 2029	4,196.831533	25x	214.000000	1.00	490.284058
Q4 2028	Q4 2028 to Q3 2029	4,490.744312	25x	215.500000	1.00	520.968018
Q1 2029	Q1 2029 to Q4 2029	4,781.572457	25x	217.000000	1.00	550.872403
Q2 2029	Q2 2029 to Q1 2030	5,067.775114	25x	218.500000	1.00	579.836970
Q3 2029	Q3 2029 to Q2 2030	5,349.731032	25x	220.000000	1.00	607.923981
Q4 2029	Q4 2029 to Q3 2030	5,623.636231	25x	221.500000	1.00	634.721922
Q1 2030	Q1 2030 to Q4 2030	5,887.937361	25x	223.000000	1.00	660.082664

Price target = sum of four quarterly Credo non-GAAP operating profits x 25 / the target quarter's diluted-share denominator. Credo has no minority allocation in this model. These are operating-profit targets; tax, financing and a cash/enterprise-value adjustment are not silently substituted. The recurring SBC exclusion remains material.

Full investment analysis

The sections below preserve the original earnings calibration, vector build, cost and share assumptions, risks and sources, with the evidence corrections described above. No new earnings period is implied by the evidence-review date.

Original financial calibration: 17 September 2026 | **Current model update:** 11 October 2026 | **Framework:** 8.0 | **Format:** standalone current-state analysis **Status:** NOT HELD in supplied original; protected portfolio Base 75 retained | **Classification:** BOTTLENECK: qualified copper/optical connectivity and reliability software **Artifact Base:** 45/60 = **75% - High Conviction** | **Protected portfolio Base:** 75% (current saved Excel Base; separate from artifact assessment) **Snapshot:**

supplied-workbook price USD 249.890; model share proxy 197.505000M; implied snapshot market capitalization 49,354.524 USD millions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active price target:** Q4 2027 **USD 375.072816**, pricing Q4 2027-Q3 2028. The quarterly targets below incorporate the October 11 AEC case; valuation and share conventions are unchanged.

Credo addresses a larger set of AI connectivity problems as it moves from copper links into optical systems, optical silicon and memory fan-out. The expanded market can support growth beyond its present scale. Reliability and qualification turn that opportunity into a defensible customer proposition; production execution, capture and dilution decide its per-share value.

1. Supercycle, supply chain and durable advantage

Credo sells connectivity and reliable links across multiple reaches. Its qualification process and software can reduce deployment disruption, but customers can select competing copper and optical architectures. AECs are scaled; ZeroFlap and PICs are at an earlier ramp; ALC, NPO and memory fan-out are later options. Each is modeled as an external sale. A DSP or PIC inside a Credo module is part of that module cost and is not counted again as external component revenue.

DB1 photonics and DB10 inference infrastructure: accelerator/switch deployments → link count, reach and bandwidth → SerDes, retimers, optical DSP/PIC and complete connectivity products → foundry, laser and contract-manufacturing supply. Credo owns differentiated design, firmware and qualification work while using external production. Replacement requires system qualification and software integration, supporting BOTTLENECK classification, but does not require replacing an irreplaceable physical monopoly. Copper, laser optics and microLED can coexist across reaches; their full TAMs cannot all be applied to the same connection.

Business / curve	Stage	Evidence and next inflection
AEC	Scaled ramp;10-50% qualitative band	Customer penetration and higher bandwidth remain opportunities despite the larger base.
ZeroFlap and optical components	Early commercial ramp	Production and new 1.6T products increase invoice content; broad adoption is still ahead.
ALC and memory fan-out	Pre-ramp 0-10%	FY28 conversion is modeled; market size does not establish awarded share.
CPO/NPO systems	Pre-ramp 0-10%	New form factors create design sockets with separate qualification schedules.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
Phase 1 - existing demand;100% thematic	Short-reach links, optical modules and retimers	Customer deployment growth drives physical links; primary market forecasts provide an expanding unit envelope. Current sales anchor the calculation; they do not cap future demand.
Phase 2 - adjacent products;50% thematic	1.6T optics, vertically integrated optical systems, new memory-fanout content	The September 15 launch supplies product evidence. Cignal AI's 1.6T forecast is a subset of the wider optical-link market, not an additional market to sum with it. Model captures net external invoices.
Phase 3 - new architectures;20% thematic	ALC/microLED scale-up, NPO/CPO and later-generation memory fabrics	Several future product families compete for related links. The model assigns one revenue boundary per vector and explicit conversion assumptions; a multi-billion-dollar opportunity is not equal to booked company revenue.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

FQ1 FY2027, ended August 1 and reported September 1, generated revenue USD 479.003M, non-GAAP GP 325.795M, non-GAAP opex 95.154M and non-GAAP OP 230.641M. GAAP OP was 120.700M and SBC87.979M: the valuation basis is explicitly non-GAAP. Non-GAAP diluted shares were 197.505M. FQ2 revenue guidance was 525-535M, GM 67-69%, opex 100-105M and shares about 200M. The midpoint is a model, not an actual.

Full prepared remarks and Q&A were read for the 1 September FQ1FY2027 call,1 June FQ4FY2026 call and 10 September Goldman discussion. The CFO described about 20% sequential growth into FQ3 and 30% into FQ4, with a 1B quarter in sight early FY2028. Management expects an expanding optical production rate and enduring AEC growth. These are execution expectations, not a fixed multiyear sales contract. Automated transcript product-name errors were reconciled with issuer releases.

Prepared remarks and full Q&A for the two latest earnings calls and the newer conference were read. Remaining gaps concern undisclosed product sales, margins, detailed unit capacity, realized ASP and future customer allocation; no claim is made that those forecasts are company guidance. Automated transcript names/units are checked against issuer product releases.

4. Local evidence and calibration packet

Issuer financial results establish 479.003M revenue and 325.795M adjusted GP. The first row reproduces both exactly;95.154M expenses yield 230.641M adjusted OP. This is an actual consolidated calibration with estimated product splits. FQ2 midpoints 530M/68%/102.5M yield 257.9M OP. The direct billing-customer concentrations in the 10-Q differ from end-customer concentrations discussed on the call; they are different views and not additive. Product-level actual sales and costs remain undisclosed.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	17/20	System qualification, SerDes and telemetry differentiate the portfolio; no sole-source monopoly.
Cycle stage	10/10	Reported growth and optics entering production confirm the ramp.
TAM expansion	9/10	Copper, optical, memory fan-out and new form factors address additional sockets.
Catalysts	5/5	FY2027 optical ramp and FY2028 ALC/OmniConnect/NPO launches.
Macro	8/10	AI interconnect intensity supports demand, with concentrated capex exposure.
Alpha	1/5	Well-followed company; edge rests in timing and avoiding double counting.
Risks	-5	Concentration, competition, optical execution, emerging-product delays and SBC/dilution.

Sum: 45/60 × 100 = 75.000000%, conventionally rounded to 75%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Fiscal-quarter-end mapping: Q3 2026=FQ1FY2027 (August 1), Q4 2026=FQ2, Q1 2027=FQ3, Q2 2027=FQ4. Each row is a fiscal reporting period bucket, not literal calendar-month results. Eight external-sale vectors sum to reported/guided consolidated revenue. First-two-quarter product splits and balancing AEC GMs are estimates calibrated to consolidated GP. FQ3/FQ4 totals 636/826.8M follow the CFO directional cadence. All later product quantities and GMs are conditional assumptions. The reference AEC exit 2030 demand bridge, before the separately weighted October 11 case, is 2.916667× link-volume index ×0.90 realized price/mix ×1.00 relative capture =2.625× the initial AEC anchor. The volume index uses the 60→175M optical-transceiver industry trajectory as an explicit proxy for growth in short-reach connections; it is not a published AEC shipment forecast. From FQ1FY2028 the reference AEC path transitions geometrically to that endpoint; the active path adds the separately weighted October 11 residual. ZeroFlap follows the separate product-production curve, with components consumed internally excluded from external DSP/PIC sales. Product margins are independently specified before opex. Additional 15% cash operating-cost absorption is applied to the increased AEC revenue above the earlier dollar investment schedule; this is an analyst spending assumption. Future shares include a full-award/contingent-issuance allowance, with disclosed dilution sensitivity.25×non-GAAP OP is the price target convention.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
AEC	325.003M first-quarter allocation; total-company calibration only.	The 2.625×exit index assumes unchanged relative capture of an expanding short-reach link wallet and 10% net ASP erosion. This implies reference quarterly sales 853.133M at exit 2030; the active path adds the new weighted case shown in V1. Global optical-unit growth is a proxy; a changing short/long-reach mix is the principal sensitivity.	70% mature product GM; first two balancing GMs fit actual/guide. Proprietary silicon, firmware and system ownership support premium economics, but 70% is not disclosed product guidance.
Retimers	90M initial allocation.	Ethernet/UALink/PCIe adoption;198M exit quarterly sales at assumed 60-dollar ASP implies 3.3M chip equivalents. Both unit mix and price are analyst assumptions.	72% proxy; weighted wafer/test/package costs equal 28% of product revenue.
ZeroFlap modules	20M initial allocation; explicit external module invoice.	FY2028 sales 1.2B;400M exit quarter versus 158.155M FY2027 exit. At assumed 300-dollar ASP, monthly units rise 175,728→444,444, a 2.53×rate. Actual ASP/production mix could alter the revenue conversion.	64% proxy means 108-dollarcost at 300-dollar ASP. Includes internally used DSP/PIC, external laser and assembly; those internal components create no second sale.
External optical DSP	24M initial allocation.	158M quarterly exit revenue at assumed 50-dollar ASP implies 3.16M external chip equivalents. Customer module production and design capture are required; internal ZeroFlap consumption is eliminated.	75% non-GAAP proxy; foundry/test yield remains a margin risk.
External PIC	20M initial allocation.	178M exit quarter at assumed 50-dollar ASP implies 3.56M external chip equivalents. Current design wins support direction; the quantity is a capture scenario.	73% non-GAAP proxy; acquisition amortization/SBC treatment differs from GAAP.
ALC/microLED	Zero initial revenue;FY28 launch assumption.	FY28 model 52M at assumed 400-dollarcable ASP implies 130,000 converted cable equivalents. FY30 model 310M implies 775,000. No separate production-order quantity has been disclosed.	65% proxy means 140-dollarunitcost at 400-dollar ASP; immature yield makes this LOW confidence.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Weaver/OmniConnect	Zero initial revenue; customer programme and content evidence.	Using 2,500-dollarcontent per accelerator within management's 2,000-3,000 range, FY28 model 195M implies 78,000 converted accelerators;FY30 model 890M implies 356,000. These are assumed aggregate deployments, not disclosed Positron orders.	75% proxy; combines gearbox/IP wallet without separately adding duplicate royalty revenue.
CPO/NPO external sales	Initial zero;FY28 qualification-to-production assumption.	FY28 model 33M at assumed 1,000-dollarnet optical-engine equivalent implies 33,000 units;FY30 model 222M implies 222,000. Boundary includes only external invoices outside V3-V5.	65% proxy includes acquired silicon and assembly costs; scope/ASP undisclosed.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. AEC

The earlier optical-volume proxy remains the reference. The separate 30% case below adds only net AEC sales beyond that reference, after calendar alignment. Net capture is assumed at 25%, not disclosed market share; embedded retimers are not sold twice. 70% AEC gross margin is retained.

Quarter	Revenue anchor	Active conversion factor	Active AEC revenue	Product GM	GP
Q3 2026	325.003000	1.000000	325.003	66.336%	215.595
Q4 2026	325.003000	1.076913	350.000	66.160%	231.560
Q1 2027	325.003000	1.043683	339.200	70.000%	237.440
Q2 2027	325.003000	1.203049	390.995	70.000%	273.696
Q3 2027	325.003000	1.318287	428.447	70.000%	299.913
Q4 2027	325.003000	1.390878	452.039	70.000%	316.428
Q1 2028	325.003000	1.543498	501.641	70.000%	351.149
Q2 2028	325.003000	1.788928	581.407	70.000%	406.985

Quarter	Revenue anchor	Active conversion factor	Active AEC revenue	Product GM	GP
Q3 2028	325.003000	1.887434	613.422	70.000%	429.395
Q4 2028	325.003000	1.991365	647.200	70.000%	453.040
Q1 2029	325.003000	2.091934	679.885	70.000%	475.919
Q2 2029	325.003000	2.173088	706.260	70.000%	494.382
Q3 2029	325.003000	2.277880	740.318	70.000%	518.222
Q4 2029	325.003000	2.388442	776.251	70.000%	543.376
Q1 2030	325.003000	2.505092	814.162	70.000%	569.914
Q2 2030	325.003000	2.628166	854.162	70.000%	597.913
Q3 2030	325.003000	2.758016	896.364	70.000%	627.454
Q4 2030	325.003000	2.895017	940.889	70.000%	658.622

V2. Retimers

Sources: CRDO-1/2/3; product allocation and adoption assumptions. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	90.000000	1.000000	90.000	72.000%	64.800
Q4 2026	90.000000	1.055556	95.000	72.000%	68.400
Q1 2027	90.000000	1.177778	106.000	72.000%	76.320
Q2 2027	90.000000	1.386298	124.767	72.000%	89.832
Q3 2027	90.000000	1.733333	156.000	72.000%	112.320
Q4 2027	90.000000	1.777778	160.000	72.000%	115.200
Q1 2028	90.000000	1.833333	165.000	72.000%	118.800
Q2 2028	90.000000	1.877778	169.000	72.000%	121.680
Q3 2028	90.000000	1.922222	173.000	72.000%	124.560

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2028	90.000000	1.966667	177.000	72.000%	127.440
Q1 2029	90.000000	2.000000	180.000	72.000%	129.600
Q2 2029	90.000000	2.033333	183.000	72.000%	131.760
Q3 2029	90.000000	2.066667	186.000	72.000%	133.920
Q4 2029	90.000000	2.100000	189.000	72.000%	136.080
Q1 2030	90.000000	2.122222	191.000	72.000%	137.520
Q2 2030	90.000000	2.155556	194.000	72.000%	139.680
Q3 2030	90.000000	2.177778	196.000	72.000%	141.120
Q4 2030	90.000000	2.200000	198.000	72.000%	142.560

V3. ZeroFlap external module sales

Sources: CRDO-2/3/4/6; production-rate proxy and assumedASP. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	20.000000	1.000000	20.000	64.000%	12.800
Q4 2026	20.000000	1.250000	25.000	64.000%	16.000
Q1 2027	20.000000	4.452000	89.040	64.000%	56.986
Q2 2027	20.000000	7.907758	158.155	64.000%	101.219
Q3 2027	20.000000	10.000000	200.000	64.000%	128.000
Q4 2027	20.000000	13.500000	270.000	64.000%	172.800
Q1 2028	20.000000	16.500000	330.000	64.000%	211.200
Q2 2028	20.000000	20.000000	400.000	64.000%	256.000
Q3 2028	20.000000	22.000000	440.000	64.000%	281.600
Q4 2028	20.000000	24.000000	480.000	64.000%	307.200

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2029	20.000000	26.000000	520.000	64.000%	332.800
Q2 2029	20.000000	28.000000	560.000	64.000%	358.400
Q3 2029	20.000000	29.500000	590.000	64.000%	377.600
Q4 2029	20.000000	31.000000	620.000	64.000%	396.800
Q1 2030	20.000000	32.500000	650.000	64.000%	416.000
Q2 2030	20.000000	34.000000	680.000	64.000%	435.200
Q3 2030	20.000000	35.500000	710.000	64.000%	454.400
Q4 2030	20.000000	37.000000	740.000	64.000%	473.600

V4. External optical DSP sales

Sources: CRDO-2/3; external-only component sales and capture. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	24.000000	1.000000	24.000	75.000%	18.000
Q4 2026	24.000000	1.333333	32.000	75.000%	24.000
Q1 2027	24.000000	2.296667	55.120	75.000%	41.340
Q2 2027	24.000000	3.294899	79.078	75.000%	59.308
Q3 2027	24.000000	3.333333	80.000	75.000%	60.000
Q4 2027	24.000000	3.541667	85.000	75.000%	63.750
Q1 2028	24.000000	3.750000	90.000	75.000%	67.500
Q2 2028	24.000000	3.958333	95.000	75.000%	71.250
Q3 2028	24.000000	4.375000	105.000	75.000%	78.750
Q4 2028	24.000000	4.666667	112.000	75.000%	84.000
Q1 2029	24.000000	4.916667	118.000	75.000%	88.500

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2029	24.000000	5.208333	125.000	75.000%	93.750
Q3 2029	24.000000	5.500000	132.000	75.000%	99.000
Q4 2029	24.000000	5.791667	139.000	75.000%	104.250
Q1 2030	24.000000	6.000000	144.000	75.000%	108.000
Q2 2030	24.000000	6.166667	148.000	75.000%	111.000
Q3 2030	24.000000	6.375000	153.000	75.000%	114.750
Q4 2030	24.000000	6.583333	158.000	75.000%	118.500

V5. External SiPho PIC sales

Sources: CRDO-2/5; external-only PIC allocation. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	20.000000	1.000000	20.000	73.000%	14.600
Q4 2026	20.000000	1.400000	28.000	73.000%	20.440
Q1 2027	20.000000	2.332000	46.640	73.000%	34.047
Q2 2027	20.000000	3.690287	73.806	73.000%	53.878
Q3 2027	20.000000	4.300000	86.000	73.000%	62.780
Q4 2027	20.000000	4.800000	96.000	73.000%	70.080
Q1 2028	20.000000	5.300000	106.000	73.000%	77.380
Q2 2028	20.000000	5.800000	116.000	73.000%	84.680
Q3 2028	20.000000	6.250000	125.000	73.000%	91.250
Q4 2028	20.000000	6.600000	132.000	73.000%	96.360
Q1 2029	20.000000	6.900000	138.000	73.000%	100.740
Q2 2029	20.000000	7.250000	145.000	73.000%	105.850

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2029	20.000000	7.600000	152.000	73.000%	110.960
Q4 2029	20.000000	7.950000	159.000	73.000%	116.070
Q1 2030	20.000000	8.200000	164.000	73.000%	119.720
Q2 2030	20.000000	8.400000	168.000	73.000%	122.640
Q3 2030	20.000000	8.650000	173.000	73.000%	126.290
Q4 2030	20.000000	8.900000	178.000	73.000%	129.940

V6. ALC / microLED

Sources: CRDO-2/3/4; customer qualification, assumed units/ASP. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.000000	0.000000	0.000	65.000%	0.000
Q4 2026	10.000000	0.000000	0.000	65.000%	0.000
Q1 2027	10.000000	0.000000	0.000	65.000%	0.000
Q2 2027	10.000000	0.000000	0.000	65.000%	0.000
Q3 2027	10.000000	1.000000	10.000	65.000%	6.500
Q4 2027	10.000000	1.200000	12.000	65.000%	7.800
Q1 2028	10.000000	1.400000	14.000	65.000%	9.100
Q2 2028	10.000000	1.600000	16.000	65.000%	10.400
Q3 2028	10.000000	3.200000	32.000	65.000%	20.800
Q4 2028	10.000000	4.000000	40.000	65.000%	26.000
Q1 2029	10.000000	4.800000	48.000	65.000%	31.200
Q2 2029	10.000000	5.500000	55.000	65.000%	35.750
Q3 2029	10.000000	6.500000	65.000	65.000%	42.250

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2029	10.000000	7.400000	74.000	65.000%	48.100
Q1 2030	10.000000	8.200000	82.000	65.000%	53.300
Q2 2030	10.000000	8.900000	89.000	65.000%	57.850
Q3 2030	10.000000	9.500000	95.000	65.000%	61.750
Q4 2030	10.000000	10.100000	101.000	65.000%	65.650

V7. Weaver / OmniConnect

Sources: CRDO-2/3; content per accelerator and assumed converted deployments. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.000000	0.000000	0.000	75.000%	0.000
Q4 2026	10.000000	0.000000	0.000	75.000%	0.000
Q1 2027	10.000000	0.000000	0.000	75.000%	0.000
Q2 2027	10.000000	0.000000	0.000	75.000%	0.000
Q3 2027	10.000000	3.000000	30.000	75.000%	22.500
Q4 2027	10.000000	4.200000	42.000	75.000%	31.500
Q1 2028	10.000000	5.500000	55.000	75.000%	41.250
Q2 2028	10.000000	6.800000	68.000	75.000%	51.000
Q3 2028	10.000000	10.000000	100.000	75.000%	75.000
Q4 2028	10.000000	12.500000	125.000	75.000%	93.750
Q1 2029	10.000000	14.800000	148.000	75.000%	111.000
Q2 2029	10.000000	16.800000	168.000	75.000%	126.000
Q3 2029	10.000000	19.000000	190.000	75.000%	142.500
Q4 2029	10.000000	21.500000	215.000	75.000%	161.250

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2030	10.000000	23.500000	235.000	75.000%	176.250
Q2 2030	10.000000	25.000000	250.000	75.000%	187.500
Q3 2030	10.000000	26.400000	264.000	75.000%	198.000
Q4 2030	10.000000	27.800000	278.000	75.000%	208.500

V8. CPO / NPO external sales

Sources: CRDO-2/3; design wins and assumed net invoice content. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.000000	0.000000	0.000	65.000%	0.000
Q4 2026	10.000000	0.000000	0.000	65.000%	0.000
Q1 2027	10.000000	0.000000	0.000	65.000%	0.000
Q2 2027	10.000000	0.000000	0.000	65.000%	0.000
Q3 2027	10.000000	0.600000	6.000	65.000%	3.900
Q4 2027	10.000000	0.800000	8.000	65.000%	5.200
Q1 2028	10.000000	0.900000	9.000	65.000%	5.850
Q2 2028	10.000000	1.000000	10.000	65.000%	6.500
Q3 2028	10.000000	2.200000	22.000	65.000%	14.300
Q4 2028	10.000000	2.800000	28.000	65.000%	18.200
Q1 2029	10.000000	3.300000	33.000	65.000%	21.450
Q2 2029	10.000000	3.800000	38.000	65.000%	24.700
Q3 2029	10.000000	4.600000	46.000	65.000%	29.900
Q4 2029	10.000000	5.300000	53.000	65.000%	34.450
Q1 2030	10.000000	5.900000	59.000	65.000%	38.350

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2030	10.000000	6.400000	64.000	65.000%	41.600
Q3 2030	10.000000	6.900000	69.000	65.000%	44.850
Q4 2030	10.000000	7.400000	74.000	65.000%	48.100

7. Operating-cost bridge and quarterly operating model

The explicit quarterly non-GAAP expense schedule begins 95.154/102.5/109/112.5M. FY27 total 419.154M retains the approximately 55% annual spending-growth calibration from the earnings discussion. Later spending equals the underlying dollar investment schedule plus 15% of incremental AEC sales from the expanded demand bridge. Dollar costs rise even while the ratio falls. SBC and acquisition adjustments are excluded by the selected basis: Q1 adjusted OP 230.641 versus GAAP120.700 differs 109.941M, including 87.979M SBC. Dilution allowances do not make that recurring economic expense disappear.

Profit basis: Non-GAAP operating profit. Amounts below are USD millions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Actual	479.003	325.795	19.865%	95.154	48.150%	230.641	Reported FQ1FY27 consolidated total	HIGH total / LOW mix
Q4 2026	Model (guide midpoint)	530.000	360.400	19.340%	102.500	48.660%	257.900	FQ2 midpoint forecast	LOW model
Q1 2027	Model	636.000	446.133	17.138%	109.000	53.008%	337.133	Directional 20% sequential ramp	LOW model
Q2 2027	Model	826.800	577.934	13.607%	112.500	56.293%	465.434	Directional 30% sequential ramp	LOW model
Q3 2027	Model	996.447	695.913	13.098%	130.517	56.741%	565.396	FQ1FY28 new products and optics	LOW model
Q4 2027	Model	1,125.039	782.758	12.467%	140.256	57.109%	642.502	Billion-dollar-quarter opportunity	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q1 2028	Model	1,270.641	882.229	12.112%	153.896	57.320%	728.333	Higher optical production	LOW model
Q2 2028	Model	1,455.407	1,008.495	11.843%	172.361	57.450%	836.134	FY28 optical exit-rate step	LOW model
Q3 2028	Model	1,610.422	1,115.655	11.147%	179.513	58.130%	936.142	Optical and AEC demand expansion	LOW model
Q4 2028	Model	1,741.200	1,205.990	10.974%	191.080	58.288%	1,014.910	Broader customer conversion	LOW model
Q1 2029	Model	1,864.885	1,291.209	10.866%	202.633	58.372%	1,088.577	Memory-fabric deployments	LOW model
Q2 2029	Model	1,980.260	1,370.592	10.776%	213.389	58.437%	1,157.203	FY29 production scaling	LOW model
Q3 2029	Model	2,101.318	1,454.352	10.674%	224.298	58.537%	1,230.055	Larger addressable link pool	LOW model
Q4 2029	Model	2,225.251	1,540.376	10.544%	234.638	58.678%	1,305.738	Further new-product capture	LOW model
Q1 2030	Model	2,339.162	1,619.054	10.443%	244.274	58.772%	1,374.779	Maturing optical mix	LOW model
Q2 2030	Model	2,447.162	1,693.383	10.389%	254.224	58.809%	1,439.159	FY30 programme conversion	LOW model
Q3 2030	Model	2,556.364	1,768.614	10.353%	264.655	58.832%	1,503.960	Bandwidth/content growth	LOW model
Q4 2030	Model	2,667.889	1,845.472	10.324%	275.433	58.849%	1,570.039	Reference 2.625x plus weighted AEC increment	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

25×forward non-GAAP OP reflects qualified connectivity, differentiated software and a broadening product portfolio. It remains a price target-model judgment, not a claim that adjusted profit equals GAAP earnings. A substantial part of compensation is excluded; comparing this price target with unadjusted-OP portfolio names requires that distinction. No automatic multiple expansion is added as revenue ramps.

187.768M August 1 issued shares +8.3M RSUs +3.1M PSUs +1.7M options +up to 3.21M contingent acquisition shares =204.078M gross full-issuance illustration before forfeitures, exercise proceeds, future awards and restricted-share overlap. Replacement RSUs already inside totals are not added again. The model preserves actual 197.505M adjusted weighted-average shares and FQ2 guidance 200M, then uses 205M increasing 1.5M per quarter to 227.5M. This is a deliberately exposed future-capitalization allowance, not a reported share forecast. Cash 466.869M plus short investments 297.389M totals 764.258M; no borrowing line appears on the balance sheet. Purchase consideration and contingent obligations still consume capital. The expired/exercised historical customer warrant is not added again. [CRDO-5/7]

The valuation denominator is the price target quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit price target.

9. Complete rolling four-quarter price target derivation

price target quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	price target USD	Key inflection
Q3 2026	Q3 2026 → Q2 2027	1,291.107879	25×	197.505000	163.427240	Reported FQ1FY27 consolidated total
Q4 2026	Q4 2026 → Q3 2027	1,625.862786	25×	200.000000	203.232848	FQ2 midpoint forecast
Q1 2027	Q1 2027 → Q4 2027	2,010.464443	25×	205.000000	245.178591	Directional 20% sequential ramp
Q2 2027	Q2 2027 → Q1 2028	2,401.664430	25×	206.500000	290.758406	Directional 30% sequential ramp
Q3 2027	Q3 2027 → Q2 2028	2,772.364118	25×	208.000000	333.216841	FQ1FY28 new products and optics
Q4 2027	Q4 2027 → Q3 2028	3,143.110197	25×	209.500000	375.072816	Billion-dollar-quarter opportunity
Q1 2028	Q1 2028 → Q4 2028	3,515.518334	25×	211.000000	416.530608	Higher optical production
Q2 2028	Q2 2028 → Q1 2029	3,875.762253	25×	212.500000	455.972030	FY28 optical exit-rate step
Q3 2028	Q3 2028 → Q2 2029	4,196.831533	25×	214.000000	490.284058	Optical and AEC demand expansion
Q4 2028	Q4 2028 → Q3 2029	4,490.744312	25×	215.500000	520.968018	Broader customer conversion
Q1 2029	Q1 2029 → Q4 2029	4,781.572457	25×	217.000000	550.872403	Memory-fabric deployments
Q2 2029	Q2 2029 → Q1 2030	5,067.775114	25×	218.500000	579.836970	FY29 production scaling
Q3 2029	Q3 2029 → Q2 2030	5,349.731032	25×	220.000000	607.923981	Larger addressable link pool
Q4 2029	Q4 2029 → Q3 2030	5,623.636231	25×	221.500000	634.721922	Further new-product capture
Q1 2030	Q1 2030 → Q4 2030	5,887.937361	25×	223.000000	660.082664	Maturing optical mix

- **Q3 2026:** (230.641000 + 257.900000 + 337.132800 + 465.434079) x 25 / 197.505000 = **163.427240 USD/share**. Window: Q3 2026 to Q2 2027.
- **Q4 2026:** (257.900000 + 337.132800 + 465.434079 + 565.395907) x 25 / 200.000000 = **203.232848 USD/share**. Window: Q4 2026 to Q3 2027.
- **Q1 2027:** (337.132800 + 465.434079 + 565.395907 + 642.501658) x 25 / 205.000000 = **245.178591 USD/share**. Window: Q1 2027 to Q4 2027.
- **Q2 2027:** (465.434079 + 565.395907 + 642.501658 + 728.332787) x 25 / 206.500000 = **290.758406 USD/share**. Window: Q2 2027 to Q1 2028.
- **Q3 2027:** (565.395907 + 642.501658 + 728.332787 + 836.133767) x 25 / 208.000000 = **333.216841 USD/share**. Window: Q3 2027 to Q2 2028.
- **Q4 2027:** (642.501658 + 728.332787 + 836.133767 + 936.141986) x 25 / 209.500000 = **375.072816 USD/share**. Window: Q4 2027 to Q3 2028.
- **Q1 2028:** (728.332787 + 836.133767 + 936.141986 + 1,014.909795) x 25 / 211.000000 = **416.530608 USD/share**. Window: Q1 2028 to Q4 2028.

- **Q2 2028:** (836.133767 + 936.141986 + 1,014.909795 + 1,088.576706) x 25 / 212.500000 = **455.972030 USD/share**. Window: Q2 2028 to Q1 2029.
- **Q3 2028:** (936.141986 + 1,014.909795 + 1,088.576706 + 1,157.203047) x 25 / 214.000000 = **490.284058 USD/share**. Window: Q3 2028 to Q2 2029.
- **Q4 2028:** (1,014.909795 + 1,088.576706 + 1,157.203047 + 1,230.054765) x 25 / 215.500000 = **520.968018 USD/share**. Window: Q4 2028 to Q3 2029.
- **Q1 2029:** (1,088.576706 + 1,157.203047 + 1,230.054765 + 1,305.737939) x 25 / 217.000000 = **550.872403 USD/share**. Window: Q1 2029 to Q4 2029.
- **Q2 2029:** (1,157.203047 + 1,230.054765 + 1,305.737939 + 1,374.779364) x 25 / 218.500000 = **579.836970 USD/share**. Window: Q2 2029 to Q1 2030.
- **Q3 2029:** (1,230.054765 + 1,305.737939 + 1,374.779364 + 1,439.158964) x 25 / 220.000000 = **607.923981 USD/share**. Window: Q3 2029 to Q2 2030.
- **Q4 2029:** (1,305.737939 + 1,374.779364 + 1,439.158964 + 1,503.959964) x 25 / 221.500000 = **634.721922 USD/share**. Window: Q4 2029 to Q3 2030.
- **Q1 2030:** (1,374.779364 + 1,439.158964 + 1,503.959964 + 1,570.039069) x 25 / 223.000000 = **660.082664 USD/share**. Window: Q1 2030 to Q4 2030.

10. Annual trajectory cross-check

Reporting-bucket year	Revenue	GP / contribution	Opex	OP	OP margin
2027	3,584.286	2,502.737	492.273	2,010.464	56.091%
2028	6,077.670	4,212.369	696.850	3,515.518	57.843%
2029	8,171.714	5,656.529	874.957	4,781.572	58.514%
2030	10,010.577	6,926.524	1,038.587	5,887.937	58.817%

These are sums of the displayed quarterly reporting buckets, not extra revenue and not the live valuation method. The year labels sum Q1-Q4 reporting buckets; because Credo reports fiscal quarters, these are not literal calendar-year revenues. Calendar TAM comparisons use the separate uniform-month bridge at the opening. Fiscal totals use FQ1-FQ4 as specified below. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

Fiscal-year totals, using four reporting periods rather than calendar labels: FY2027 2,471.803M; FY2028 4,847.535M; FY2029 7,196.766M; FY2030 9,112.893M. FY2027 modeled optical module/DSP/PIC sum 650.839M and each exceeds 100M. FY2028 first modeled quarter approximately 996M is near the 1B run-rate signal, with the following quarter above it. The new 1.6T market forecast does not establish that all Credo modules are 1.6T. At 300-dollar ASP, FY2028 ZeroFlap implies 4M modules, a scenario capture requirement to compare with the relevant industry cohort. These independent demand checks do not validate unknown future product margins.

11. Historical Q3 2027 dilution diagnostic

This historical diagnostic retains the pre-October 11 Q3 2027 reference target of USD325.423338 and its original operating path. It is not a sensitivity around the current Q3 2027 target of USD333.216841, nor the active Q4 2027 target of USD375.072816. The current share schedule remains unchanged; the numbers below are retained only for historical comparison.

Denominator sensitivity	Q3 2027 shares M	Q3 2027 price target USD	Effect on price target
-5% shares	197.600000	342.550882	+5.26%
+0% shares	208.000000	325.423338	+0.00%
+5% shares	218.400000	309.926989	-4.76%
+10% shares	228.800000	295.839398	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Existing qualified links	Commercial evidence;95% continuation confidence	Current revenue calibration	Included once; no probability discount to actual sales	Accepted shipments update customer and product mix.
Optical production expansion	Management plus production evidence;80% execution confidence	Explicit module rate/ASP scenario inV3	Embedded conversion curve, not extra optionality	Reported units and realized revenue upgrade to 95%; mismatch reopens ASP/mix.
New 1.6T family	Issuer product launch;75% commercialization confidence	Industry forecast is a demand envelope	Within optical vectors; not an additional 600M or whole TAM add-on	Repeat customer production orders replace modeled capture.
AEC market/capture expansion	BofA October 9 market forecast;30% probability	25% net capture, less calendar-aligned existing AEC in full	CY2027/28 weighted revenue +9.642/+351.025M;70% incremental GM less 15% opex	Product growth, qualified throughput, net invoice scope and realized pricing;15-35% capture sensitivity.
ALC	Issuer October 12 launch plan; existing 60% confidence retained	Assumed converted 130k FY28 cables	52M included inV6;100% launch overlap, no additional revenue or haircut	Retain prior gates: demo/qualification75%; production95%; move timing if late. The October12 release alone does not trigger either gate.
Weaver/OmniConnect	Named initial customer and content;75% programme confidence	Assumed 78k FY28 accelerator equivalents	195M included in V7; aggregate deployment assumption remains LOW	Customer systems shipped and paid orders verify deployment count.
NPO/CPO	Design-win indication;70% confidence	Assumed 33k FY28 net engine equivalents	33M included in V8; eliminate internal components	Qualified production upgrades timing, then actual ASP calibrates revenue.

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Customer concentration	-1	Customer deployment pauses affect revenue disproportionately; diversification does not remove correlated AI spending.
Competition	-1	Competing silicon, modules, firmware and internal designs can reduce sockets and pricing.
Optical production execution	-1	Laser/PIC supply, manufacturing yield and qualification constrain the production-to-revenue path.
Emerging-product timing	-1	ALC, memory fan-out and NPO revenue can move beyond the modeled launch quarters.
SBC, acquisition and dilution	-1	Adjusted OP omits material recurring compensation; stock earnouts and new awards dilute common claims.

14. Dated catalysts, counters and escalation

1. **2026-10-31 monitoring date - ALC demonstration and 1.6T qualifications** The October 12 official release provides 50m/12W-per-end targets and a 2027 shipping plan. Demonstration conditions and production acceptance remain the required quantity/cost evidence.
2. **2026-12-15 monitoring date - FQ2 results and revised outlook** Compare 530M sales/68% GM/102.5M opex with actuals; update all downstream windows.
3. **2027-05-31 - FY27 exit optical production** Reconcile module units, ASP and external component sales; unshipped output cannot be treated as revenue.
4. **2027-11-30 - Early FY28 scale and new products** Test the 1B-quarter signal and converted ALC/Weaver/NPO programmes.
5. **2028-05-31 - FY28 production-rate expansion** Compare achieved optical output with the modeled 2.53×exit rate, including inventory and acceptance.
6. **Each report through 2030 - Capture, cash and dilution** A share count above the modeled path or GP below the independent product assumptions triggers a new per-share bridge.

15. Cross-book monitoring

AVGO/MRVL/ALAB: competing and complementary designs reveal bandwidth and qualification changes. PCL/JBL/ASE: external assembly invoices can be Credo costs, not another Credo revenue stream. TSEM/GFS: silicon-photonics supply can enable growth while shifts in wafer pricing affect GP. MU/Ingenic: memory architectures determine the relevance of fan-out solutions; reduced need for one memory topology does not prove the end of HBM. Compare deployment and invoice boundaries before transferring a TAM increase across holdings.

16. Source register and model limits

CRDO-1 - Company FQ1 FY2027 results (2026-09-01). Reported revenue, GAAP/non-GAAP reconciliations and FQ2 ranges anchor the first two rows. Non-GAAP and GAAP share counts differ.

CRDO-2 - FQ1 FY2027 call, Quartr transcript reproduction (2026-09-01). Optical revenue expected above 600M in FY2027, with ZeroFlap, external DSP and PIC each above 100M. Initial PIC design wins did not include DSPs. Product revenue is not separately reported.

CRDO-3 - FQ4 FY2026 call, Quartr transcript reproduction (2026-06-01). Management differentiated two-digit component ASPs from three-digit module ASPs and identified supply commitments. FY2028 starts for new products depend on customer deployment.

CRDO-4 - Goldman conference, Quartr transcript reproduction (2026-09-10). CFO described roughly 20% then 30% sequential H2 growth and a possible 1B quarter early in FY2028. CEO discussed a doubling/tripling optical production rate by the end of FY2028. These are conditional execution signals.

CRDO-5 - FQ1 FY2027 Form 10-Q (2026-09-03). Acquisition, customer concentration, stock compensation and share dilution qualify the adjusted-profit model.

CRDO-6 - Credo 224G/1.6T ZeroFlap launch (2026-09-15). New optical transceivers integrate the 224G DSP, Kfir 200 PIC and PILOT. Cignal AI analyst Scott Wilkinson forecasts more than 11M 1.6T transceivers in 2026 and more than twice that in 2027. This is an industry forecast, not Credo orders.

CRDO-7 - DustPhotonics transaction terms (2026-04-14). Announced contingent consideration up to approximately 3.21M shares. Closing financials supersede estimated upfront amounts; contingent shares are not ordinary issued shares yet.

CRDO-8 - BofA Global Research, Q3 Cloud Capex Preview, October 9,2026, page 10. Owner-supplied local PDF; original source page embedded above. AEC TAM forecasts USD6.9B/13.2B in 2027/28 are forecasts, not Credo orders. The 25% net capture,30% probability, calendar allocation and cost conversion are our explicit assumptions. The existing AEC forecast is deducted before weighting.

CRDO-9 - Official October 12 ALC release. Company launch and design targets; shipping planned 2027. Full issuer text was independently read through the supported web reader after direct HTML retrieval returned 403. Original publisher text and recovery record are retained locally. No inaccessible press-release image is treated as a measurement.

CRDO-10 - Credo current ALC product page, retrievedOctober 12,2026. Explicit microVCSEL/microLED alternatives, wide-parallel NRZ architecture and row-scale reach. The embedded original published product image is 209,347 bytes,1024x 876 pixels, SHA256 0457185c81519562ab0bc52634d11b432dbb9bae92aa8ee5c095b5697612f1fa. These issuer representations are not measured customer yield, reliability or revenue.

Product splits, ASPs, unit counts and individual margins are analyst proxies, not disclosed segments. The optical output ramp does not guarantee recognized sales. The last two call transcripts contain obvious automated product-name errors; names were reconciled to the latest disclosure rather than copied literally. Long-range forecasts remain LOW confidence. The accounting basis differs from GAAP and from unadjusted OP models elsewhere in the portfolio.

Workbook reference: v 3_2_master_portfolio.xlsx, tab CRDO_Q_Model. October 11 changes AEC revenue and directly dependent GP, operating expense and rolling targets. The 25x non-GAAP operating-profit method, share schedule and both Base scores are retained. October 6 engineering evidence remains a separate no-increment assessment. October 12 official ALC specifications and the 2027 launch plan are synchronized as evidence-only, with all numerical forecasts unchanged.